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Inventory Subsystem — Business Process Design Document

Client: Plastic supplier (wholesale & retail), Iloilo City, Philippines **Subsystem:** Inventory (1 of 5 — Inventory · Orders · Delivery · Store/POS · Debit/AR) **Document type:** Business Process Design (BPD) — operational blueprint, not a technical specification **Version:** 1.1 · **Date:** 2026-08-10 · **Status:** For client review and sign-off

Revision History

Version	Date	Change
1.0	2026-08-05	Initial governing document.
1.1	2026-08-10	Merged all 35 findings from <code>inventory-fraud-audit.md</code> (14 Critical, 12 High, 7 Medium, 2 Low) directly into the affected principles, business rules, SOPs, controls, and workflow narratives. Added a dedicated Opening Balance rule (BR-064) and conversion-factor versioning/effective-dating requirements (BR-068), identified separately from the audit. No existing BR/SOP/P/C identifiers were removed or renumbered; only amended rules and the workflow steps they govern were changed. See amended clauses throughout for detail; each carries no special marker beyond reading as the corrected process.

Document Purpose & Standing

This document defines **how the business must operate**. The software is built afterwards to enforce what is written here. Where the software and this document disagree, this document is the authority until formally amended.

Scope: the Inventory subsystem only. Orders, Delivery, Store/POS, and Debit/AR are referenced solely at their integration boundaries (Section 16).

Explicitly out of scope for this document: database schemas, APIs, screen designs, source code, and technology selection.

Supersession notice. Two earlier documents exist in this project — `docs/inventory-control-plan.md` and `docs/architecture.md`. Both assume barcode scan-to-confirm at every touchpoint as the primary loss-prevention control. **The client has confirmed the warehouse remains manual: no barcode scanners, no RFID, no automated equipment.** Where those documents rely on scanning, the controls in Sections 11 and 12 of this document replace them. The ledger principle from `architecture.md` (stock is a derived sum of immutable movements, never an editable number) survives unchanged and is restated here as Principle P-01.

Operating assumption on the warehouse: paper is the *capture instrument* at the point of physical action; the system is the *system of record*. The design below is built to survive that gap — the delay between "the item physically moved" and "the movement was typed in" is where manual-warehouse losses hide, and Sections 11, 12, and 14 exist primarily to close it.

1. Business Overview

1.1 What the business does

The company purchases plastic products in bulk — cellophane, sando bags, trash bags, plastic sheeting, containers, straws, cups, and similar goods — from manufacturers and importers (typically Manila and Cebu), stores them in a warehouse in Iloilo, and resells them through two channels:

Channel	Customer	Typical order	Payment	Fulfilment
Retail	Walk-in public, small households, small eateries	Pieces, bundles, reams	Cash, on the spot	Customer carries out from the store
Wholesale	Public-market vendors, sari-sari stores, carinderias, bakeries, resellers, other towns	Sacks, boxes, cartons, multiple sacks	Cash, partial, or credit ("utang"/suki terms)	Delivered by truck, multicab, or picked up

Inventory is the company's **largest asset and largest loss exposure**. Unlike a service business, every peso of profit is locked inside physical goods sitting in a warehouse that many people walk through every day. The business currently runs entirely on handwritten logs, which means inventory truth exists only in someone's memory and in stacks of paper that cannot be cross-checked quickly.

1.2 Why inventory management exists here

Inventory management exists to answer **five questions, at any moment, without a physical count**:

1. **What do we have?** — exact quantity on hand, by product, by location.
2. **What is it worth?** — capital tied up, and cost basis for pricing decisions.
3. **Where did it come from?** — which supplier, which delivery, at what cost.
4. **Where did it go?** — which sale, which customer, which employee handled it.
5. **What is missing, and when did it go missing?** — variance isolated to a date, a product, a location, and a person.

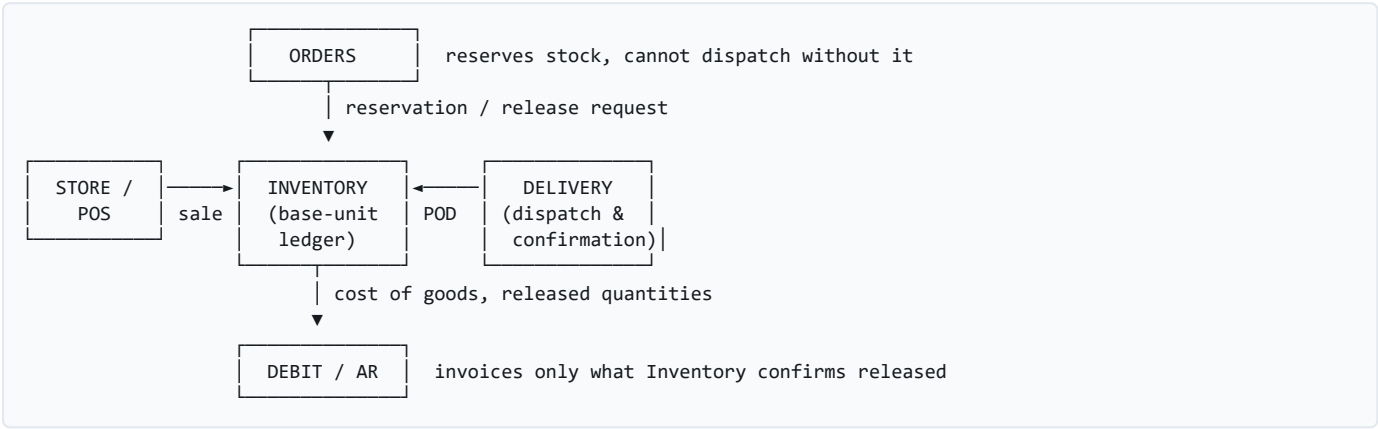
Question 5 is the reason this project exists. A paper system can eventually answer questions 1–4 with enough effort. It can almost never answer question 5, because by the time a shortage is discovered during a physical count, the trail is months cold.

1.3 Responsibilities of the inventory function

Responsibility	Description
Custody	Physical safekeeping of goods from receipt to release. The warehouse is <i>accountable</i> for stock in its possession, like a cashier is accountable for a cash drawer.
Accuracy	Keeping recorded stock equal to physical stock at all times, within a defined tolerance.
Traceability	Ensuring every unit that moves leaves a document trail naming a person, a time, a reason, and a counterparty.
Availability	Ensuring fast-moving goods are in stock and sellable; escalating reorder needs to Purchasing/Owner.
Condition	Protecting goods from damage, sun degradation (plastics yellow and become brittle), moisture, pests, and crushing.
Segregation	Keeping sellable, quarantined, damaged, and customer-owned goods physically apart so they can never be mixed or mis-sold.
Disclosure	Reporting discrepancies immediately and honestly, rather than absorbing them quietly.

Governing custody principle: stock is never "the company's" in the abstract. At every moment, **one named person is accountable for it**. Custody transfers only by signed document. This is what converts a vague "inventory shortage" into a specific, answerable question.

1.4 How Inventory connects to the rest of the ERP



Module	What Inventory gives it	What Inventory requires from it
Orders	Real-time available-to-promise quantity; reservation confirmation	A confirmed, approved order document before any stock is reserved or picked
Delivery	Picked and staged goods, with a release document listing exact quantities	Proof of delivery, or a documented return-to-warehouse of undelivered goods
Store / POS	Live sellable quantity per variation; block on selling what is not there	A completed sale transaction to trigger the stock-out movement
Debit / AR	Confirmed released quantities and cost basis	Nothing — but AR must never invoice a quantity Inventory did not release
Purchasing (future)	Reorder alerts, supplier short-shipment history, consumption rates	Approved purchase orders to receive against
Accounting (future)	Inventory valuation, cost of goods sold, write-off values	Approved write-off authority above threshold

Boundary rule: Inventory is the *only* subsystem permitted to change stock quantities. Every other module **requests** a movement; Inventory decides whether it is allowed, and records it. No module writes to stock directly.

2. Business Goals

2.1 Operational goals

#	Goal	Target
O-1	Every physical movement is recorded the same day it happens	100% of movements encoded before end-of-day closing
O-2	Receiving completed without holding the supplier's truck excessively	≤ 45 minutes per standard delivery
O-3	Wholesale order picked and staged within the promised window	≥ 95% same-day for orders received before 2:00 PM
O-4	Retail counter sale completed without warehouse delay	≤ 3 minutes for in-stock items
O-5	Physical count of a product completable without stopping operations	Rolling cycle counts, no full shutdown except for the annual count
O-6	Every scheduled cycle count actually happens on schedule — a missed count is treated as a control failure, not a scheduling slip	Cycle Count Compliance ≥ 98%, tracked on the Owner's dashboard; two consecutive missed counts on the same product/location auto-escalate to the Owner (Section 12.1)

2.2 Business goals

#	Goal	Target
B-1	Eliminate unexplained inventory loss	Shrinkage ≤ 0.5% of cost of goods sold per year; zero unexplained variances above the investigation threshold
B-2	Know true stock value at any time	Inventory valuation available on demand, no month-end wait
B-3	Stop capital sitting in dead stock	Dead stock (no movement 180 days) < 5% of inventory value
B-4	Stop losing sales to stockouts of fast movers	Stockout rate on top 20 products < 2% of selling days
B-5	Separate supplier short-shipment from internal loss	100% of receiving variances attributed to a named root cause

2.3 Control goals

#	Goal
C-1	No stock quantity can change without a business transaction and a named person
C-2	No single person can both create and approve a stock adjustment
C-3	Nothing physically leaves the premises without a document that has been checked at the exit
C-4	Every pre-numbered document issued is accounted for — used, voided, or unused — every day
C-5	Two independent records of stock exist (system ledger and physical bin card) and are reconciled on a schedule
C-6	Every discrepancy above tolerance opens a formal, closeable investigation — never a silent correction

#	Goal
C-7	Recorded stock can never be negative

2.4 Security goals

#	Goal
S-1	Access is by named individual account only — no shared logins, ever
S-2	Each role can perform only what its duties require (least privilege)
S-3	No user, including the Owner and the system administrator, can delete or silently edit a posted transaction
S-4	Cost, margin, and supplier pricing are visible only to roles that need them
S-5	Every login, approval, override, export, and master-data change is logged with user and timestamp
S-6	Data survives fire, flood, typhoon, and theft of the office computer (off-site backup)

2.5 Scalability goals

#	Goal
SC-1	Adding a second and third branch requires configuration, not redesign
SC-2	Product variations are unlimited and created by staff without developer involvement
SC-3	Volume growth of 10× does not change the process, only the staffing of it
SC-4	The other four subsystems attach to Inventory without altering its rules
SC-5	Historical data is never purged; reporting stays fast as history grows

2.6 User experience goals

The single hardest constraint: **staff may be senior citizens, may have never used a computer, and may be more comfortable in Hiligaynon than English.** If the system is harder than the paper it replaces, staff will quietly keep using paper and the whole control structure collapses.

#	Goal	Standard
U-1	A task is completed in as few steps as possible	Receiving one delivery line: ≤ 4 taps + 1 number
U-2	Typing is minimized	Products, suppliers, customers, reasons: selected from a list, never typed
U-3	Staff enter quantities in the unit they physically handle	"5 sacks", not "2,500 pieces" — the system converts and shows both
U-4	Every irreversible action is confirmed in plain language	"You are receiving 5 SACKS of Tiny Plastic = 2,500 pieces . Correct?"
U-5	Mistakes are caught before posting, not after	Blind second entry and confirmation screens on all stock-affecting actions
U-6	Errors are stated in plain language with the fix	"Not enough stock. On hand: 40 pieces. Ask supervisor." — never a code

#	Goal	Standard
U-7	The interface is legible to older eyes	Large text, large touch targets, high contrast, product photos
U-8	Language is the staff's own	Bilingual labels (English / Hiligaynon) where terms are operational
U-9	Training time is short	A new warehouse staff member is productive on receiving within one shift

3. Inventory Principles

These are non-negotiable. Every process, rule, and future software decision must comply.

#	Principle	Why it exists
P-01	Stock is never a number that people edit. It is the running total of recorded movements.	Removes the possibility of stock being changed without a reason attached. There is no "set quantity to X" function anywhere in the business.
P-02	No movement without a transaction. Every change in quantity is caused by a named business event: receipt, sale, return, transfer, damage, or approved adjustment.	Eliminates the category of change that cannot be explained.
P-03	No transaction without a source document. Every recorded movement points to a pre-numbered paper document bearing signatures.	In a manual warehouse the paper is the evidence. The system without the paper is only a claim.
P-04	Every transaction has one accountable owner. A named person performed it; a named person approved it where required.	Converts "inventory is short" into "this person handled it on this date."
P-05	Custody transfers only by signature. Goods move between people only when both sign.	Establishes an unbroken chain of responsibility from supplier's truck to customer's hands.
P-06	Nothing is ever deleted. Corrections are new, opposite entries that reference the original. The original mistake stays visible forever.	A deletable record is not a record. The pattern of a person's mistakes is often the actual finding.
P-07	Closed periods and posted documents are frozen. Once posted, a document cannot be edited — only reversed by a new document.	Prevents retroactive rewriting of history to match a count.
P-08	Stock can never go negative. A movement that would drive a balance below zero is blocked and escalated.	Negative stock is how real shortages hide for months. Blocking it forces the problem into daylight immediately.
P-09	Segregation of duties. The person who counts is not the person who approves; the person who requests an adjustment is not the person who approves it; the person who holds the goods is not the sole person who records them.	One person with end-to-end control of both goods and records is the single largest fraud risk in any warehouse.
P-10	Stock is held in ONE base unit only. Every variation is a conversion of the base unit, never a separate stock pool.	Prevents the classic failure where "sacks" and "pieces" disagree and require manual reconciliation.
P-11	Sequential, gapless, accounted-for document numbers. Every controlled form is pre-numbered; every number is accounted for daily.	Skipped or reused numbers are the standard method of concealing a removal.
P-12	Stock is only sellable after inspection and approval. Goods physically present are not available stock until approved.	Stops unverified, damaged, or short deliveries from being promised to customers.
P-13	Two independent records. A physical bin card at the stack and the system ledger are maintained by different people and reconciled on a schedule. <i>(Amended — G-07)</i> The physical stock record is maintained on numbered, bound pages traceable to a registered ledger book per storage zone, never on loose or replaceable cards, and a photographic record of each day's closing bin card entries is captured and stored outside warehouse-staff access as part of the daily close (SOP-08 step 7).	This is the manual warehouse's substitute for barcode verification: two records that must agree, kept by two people who cannot both be wrong in the same direction by accident. A loose, replaceable card is not an independent record — it can be quietly rewritten to match whatever the system shows.
P-14	Blind verification. The second counter never sees the first count before recording their own.	A confirming count that shows the expected number is not verification — it is agreement.
P-15	Exceptions escalate, they never absorb. A discrepancy is escalated within the shift; it is never quietly corrected on the next document.	Absorbed discrepancies are how a shortage becomes untraceable.

#	Principle	Why it exists
P-16	Same-day recording. Movements are encoded before end-of-day closing, on the day they occurred.	Every hour between the physical event and the record is an hour in which the record can drift from truth.
P-17	Physical reality wins, but only through a controlled process. When the count and the system disagree, the system is corrected by an approved Adjustment — never by an unrecorded edit — and the difference is investigated, not just fixed.	The correction is trivial; the investigation is the point.
P-18	Cost and margin are restricted information. Warehouse operations run on quantities. Costs are visible only to Owner, Branch Manager, and Auditor.	Reduces both leakage of commercial information and the incentive to target high-value stock.

4. Business Roles

4.1 Role definitions

Role	Reports to	Core responsibility	Key restriction
Owner / General Manager	—	Ultimate accountability. Approves high-value adjustments, write-offs, new branches, master-data policy. Reviews daily exception report.	Cannot delete records; Owner actions are logged and reviewed by the Auditor.
Branch Manager	Owner	Runs one branch end to end. Approves adjustments and write-offs within threshold, transfers out, price/discount exceptions. Owns branch inventory accuracy.	Cannot approve an adjustment they requested.
Warehouse Supervisor	Branch Manager	Owns physical custody of the warehouse. Verifies receipts, authorizes releases, resolves count discrepancies, supervises cycle counts, controls the form booklets.	Cannot post adjustments; cannot both count and approve the same count.
Warehouse Receiver	Warehouse Supervisor	Receives supplier deliveries: counts, inspects, records on the Receiving Report.	Cannot approve their own receipt; cannot release stock.
Warehouse Picker	Warehouse Supervisor	Pulls goods from storage against an approved Picking List; stages them in the Release Area.	Cannot check their own pick; cannot hand goods to the customer or driver.
Warehouse Checker	Warehouse Supervisor	Independently re-counts what the Picker staged, against the source document, before release. Also performs the blind second count at receiving.	Must never be the same person as the Picker/Receiver for the same document.
Encoder / Inventory Clerk	Branch Manager	Converts signed source documents into system transactions, same day. Maintains master data drafts. Prepares daily reconciliation.	Cannot originate a transaction. Encodes only what is signed. Cannot approve anything. Never touches goods.
Cashier	Branch Manager	Handles retail counter transactions and payment collection. Triggers retail stock-out via the sale.	Cannot pick, release, adjust, or receive goods.
Salesperson / Sales Rep	Branch Manager	Takes wholesale orders from customers; quotes availability.	Cannot reserve stock outside the order process, cannot pick, release, or adjust.
Auditor / Internal Control	Owner	Independent verification. Runs surprise counts, reviews adjustments and exceptions, investigates discrepancy cases, audits form accountability.	Read-only in the system. Cannot perform or approve any operational transaction — this is what preserves independence.
Security Guard / Gate Control	Branch Manager	Verifies that every item leaving the premises is covered by a valid, signed Gate Pass; logs vehicle in/out.	No system access beyond the gate log; cannot authorize a release.
System Administrator	Owner	User accounts, roles, branch setup.	Cannot post or approve stock transactions; cannot delete records. All admin actions are logged and reviewed.

4.2 Permission matrix

Legend: **C** = create/record · **A** = approve · **V** = view · **—** = no access

Function	Owner	Br. Mgr	WH Supv	Receiver	Picker	Checker	Encoder	Cashier	Sales	Auditor	Guard
Create product / variation	A	C+A ¹	—	—	—	—	C	—	—	V	—
Change conversion rate	A	—	—	—	—	—	—	—	—	V	—
Change selling price	A	C ¹	—	—	—	—	—	—	—	V	—
View cost / margin	V	V	—	—	—	—	—	—	—	V	—
Record supplier receipt	V	V	C+A	C	—	C ²	C ³	—	—	V	—
Approve receipt / post to stock	A	A	A	—	—	—	—	—	—	V	—
Create picking list	V	C	C	—	—	—	C ³	C ⁴	—	V	—
Pick goods	—	—	—	—	C	—	—	—	—	V	—
Check / verify pick	—	—	A	—	—	C	—	—	—	V	—
Authorize release / gate pass	A	A	A	—	—	—	—	—	—	V	V
Record retail sale	V	V	—	—	—	—	—	C	—	V	—
Record wholesale release	V	A	C	—	—	—	C ³	—	—	V	—
Request adjustment	C	C	C	—	—	—	C ³	—	—	—	—
Approve adjustment	A	A⁵	—	—	—	—	—	—	—	—	—
Request damage write-off	C	C	C	C	—	C	—	—	—	—	—
Approve damage write-off	A	A⁵	—	—	—	—	—	—	—	—	—
Approve customer return	V	A	A ⁵	—	—	—	—	—	—	V	—
Perform cycle count	—	—	C	C	C	C	—	—	—	C	—
Approve count variance	A	A	—	—	—	—	—	—	—	—	—
Initiate branch transfer	A	C	C	—	—	—	C ³	—	—	V	—
View full stock ledger	V	V	V ⁶	—	—	—	V	—	—	V	—
Export reports	V	V	—	—	—	—	V ⁶	—	—	V	—
Manage users / roles	A	—	—	—	—	—	—	—	—	V	—

¹ Within policy limits set by Owner. ² As blind second counter. ³ Encodes from a signed source document only — never originates. ⁴ Retail counter release for immediate carry-out. ⁵ Up to threshold (Appendix B). ⁶ Quantities only, no cost.

Session security (new rule — G-30). All terminals and applications used for stock-affecting transactions enforce an idle-timeout auto-lock of no more than 3 minutes, and require the individual's own re-authentication (PIN or biometric, not simply resuming an open session) immediately before any transaction is posted or approved — every time, regardless of how recently that person last logged in. A permission granted to a named account (Section 4.2) is only as real as the session security behind it; an unattended, unlocked terminal lets anyone act under someone else's name.

4.3 Segregation of duties — the irreducible separations

These four separations must **never** be collapsed, regardless of staffing:

#	Separation	The risk it prevents
SoD-1	Custody ≠ Recording. The person holding goods is not the sole person recording them.	The custodian can otherwise cover a removal by adjusting the record.
SoD-2	Requesting ≠ Approving. Whoever asks for an adjustment, write-off, or return never approves it.	Unilateral power to make stock "disappear" legitimately.
SoD-3	Picking ≠ Checking. Whoever pulls the goods is never the one who verifies the pull.	Deliberate over-picking, with the surplus diverted.
SoD-4	Operations ≠ Audit. The Auditor performs no operational transactions.	An auditor who operates cannot audit their own work.

4.4 When there are not enough people (small-branch reality)

A small Iloilo branch may run with 4–6 staff. One person will wear several hats. The rule:

Allowed combinations: Receiver + Picker · Checker + Encoder · Cashier + Salesperson · Branch Manager + Warehouse Supervisor (small branch only).

Forbidden combinations, without exception:

- Picker + Checker on the same document
- Requester + Approver on the same adjustment
- Encoder + Approver
- Any operational role + Auditor
- Cashier + Warehouse custody of the same stock

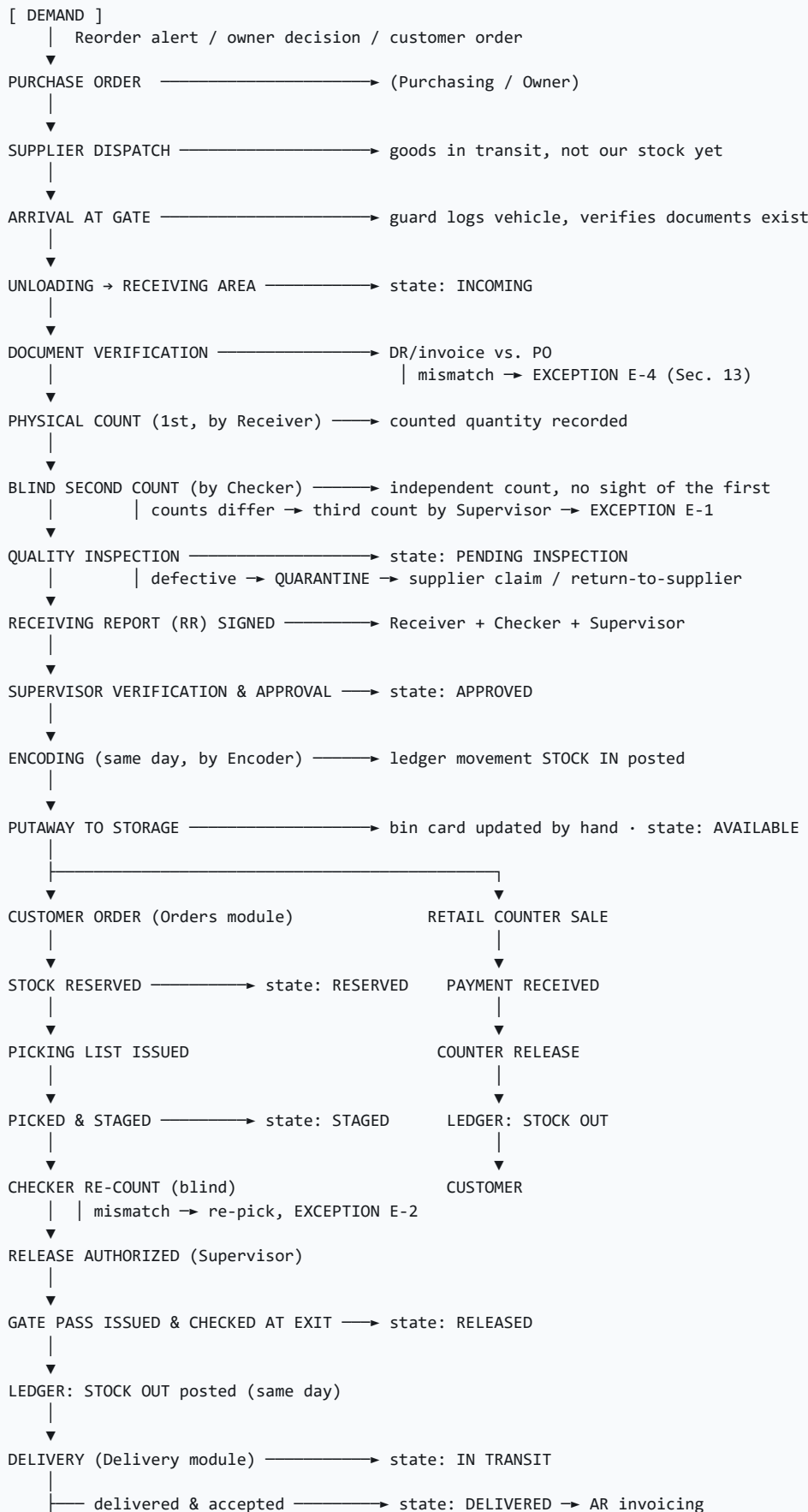
Compensating controls where staff are thin:

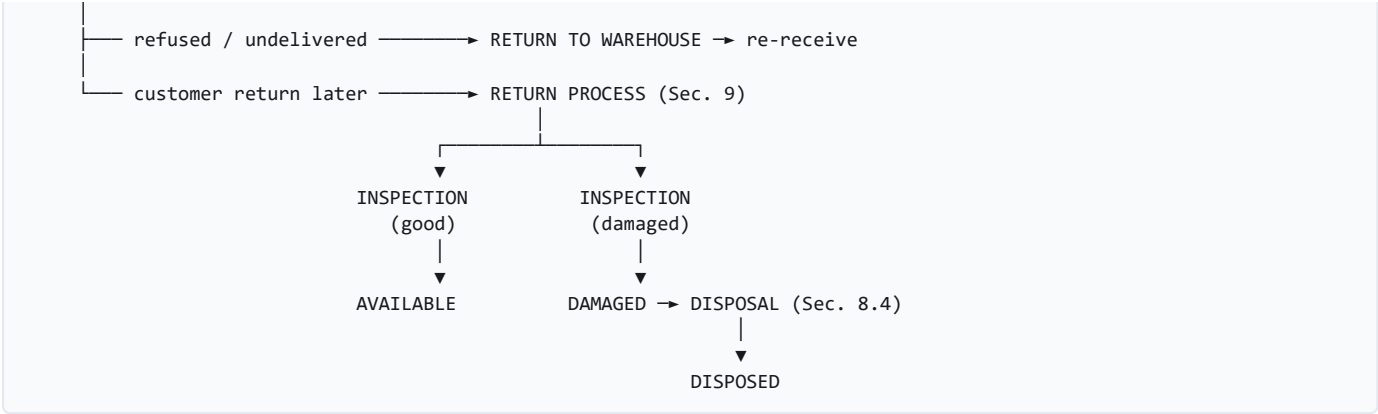
1. The **Owner personally approves** every adjustment and write-off, of any value, at branches that cannot separate requester from approver at manager level.
2. **Daily exception report** goes to the Owner's phone, every day, without being requested.
3. **Cycle count frequency doubles** at understaffed branches.
4. The **Checker role is filled by whoever is available and is not the Picker** — including the Cashier or the Branch Manager. The role matters, not the job title. The system must record *who* acted as Checker on each document.

Emergency role-collapse elevation (new rule — G-29). Any role-collapse beyond the pre-approved small-branch combinations listed above requires a **real-time, Owner-granted, time-boxed elevated-permission event** — it can never be self-declared by the requesting employee ("the Encoder is out sick, I'll encode today" is not, by itself, authorization). The Owner grants the elevation in the system in real time; it automatically expires at end of day and is not renewable without a fresh Owner grant. Every transaction performed under an emergency elevation is automatically flagged for priority Auditor review regardless of its value. Frequency of emergency elevations per branch/role is tracked monthly — a branch invoking "emergency" more than a handful of times a month has, in practice, redefined its normal operating model without the Owner's awareness, and that pattern is itself escalated to the Owner.

5. Inventory Life Cycle

5.1 Full lifecycle — inbound to outbound





5.2 Lifecycle control points

The lifecycle has **eight control points** where the process may stop. Everything else is movement between control points.

CP	Control point	Gate condition	Who holds the gate
CP-1	Gate entry	Vehicle logged, delivery documents present	Guard
CP-2	Count agreement	Two independent counts match	Checker
CP-3	Quality acceptance	Goods pass inspection	Receiver + Supervisor
CP-4	Receipt approval	RR complete and signed → stock becomes available	Warehouse Supervisor
CP-5	Release authorization	Approved order + stock available + pick verified	Warehouse Supervisor
CP-6	Gate exit	Valid Gate Pass matching physical load	Guard
CP-7	Adjustment approval	Requester ≠ approver, reason valid, evidence attached	Br. Manager / Owner
CP-8	Daily close	All documents encoded, all forms accounted for, reconciliation signed	Branch Manager

5.3 Idempotency (new rule — G-33)

Every stock ledger insert is idempotent on **(document type + document number + branch code)**. A resubmission carrying an already-used key — whether from a UI double-tap, a network retry, or a direct API call — is treated as a no-op: the system returns the original result and does **not** create a second ledger entry. This matters because a duplicate STOCK IN silently inflates available stock with phantom units, and a duplicate STOCK OUT wrongly debits real stock twice for one physical release — either one eventually surfaces as a false discrepancy that muddies a genuine shrinkage investigation. Rejected-duplicate attempts are themselves logged, not silently dropped; a spike in duplicate-submission attempts from a specific terminal or user is reviewed the same way as a probing attempt, not dismissed as a technical glitch.

6. Inventory States

6.1 State catalogue

State	Meaning	Counts as on-hand?	Sellable?	Valued in inventory?
INCOMING	On a supplier's truck or unloaded but not yet counted	No	No	No — supplier still owns it
PENDING INSPECTION	Counted, awaiting quality inspection and approval	No	No	No
QUARANTINE	Held: failed inspection, disputed, awaiting supplier decision, or awaiting return-to-supplier	Yes (physically ours if accepted)	No	Yes, if title passed
AVAILABLE	Approved, stored, free to sell	Yes	Yes	Yes
RESERVED	Committed to a confirmed order, still physically in storage	Yes	No — already promised	Yes
STAGED	Picked and sitting in the Release Area awaiting checking/release	Yes	No	Yes
RELEASED	Handed over, passed the gate, not yet confirmed delivered	No	No	Yes — until delivery confirmed (goods in transit)
DELIVERED	Confirmed received by customer or branch	No	No	No — now the customer's
RETURNED — PENDING INSPECTION	Physically back, not yet graded	Yes	No	Yes, provisionally
DAMAGED	Graded unsellable, awaiting disposal decision	Yes	No	Yes, at written-down or zero value
FOR DISPOSAL	Write-off approved, awaiting physical disposal	Yes	No	No — already written off
DISPOSED	Physically destroyed, sold as scrap, or returned to supplier	No	No	No
UNDER INVESTIGATION	Variance found; quantity in dispute pending a discrepancy case	Yes (at system quantity)	No — frozen	Yes
IN TRANSIT (branch)	Released by sending branch, not yet received by receiving branch	Yes — owned by sending branch	No	Yes, at sending branch

6.2 State transition rules

From	To	Trigger	Approval required	Document
INCOMING	PENDING INSPECTION	Both counts complete and matching	—	Receiving Report (draft)
PENDING INSPECTION	AVAILABLE	Inspection passed + supervisor approval	Warehouse Supervisor	Receiving Report (posted)

From	To	Trigger	Approval required	Document
PENDING INSPECTION	QUARANTINE	Inspection failed / quantity disputed	Warehouse Supervisor	RR + Discrepancy Note
QUARANTINE	AVAILABLE	Re-inspection passed, or supplier dispute resolved in our favour	Branch Manager	Quarantine Release Form
QUARANTINE	DISPOSED	Returned to supplier	Branch Manager	Return-to-Supplier Form
QUARANTINE	DAMAGED	Confirmed unsellable, kept by us	Branch Manager	Damage Report
AVAILABLE	RESERVED	Order confirmed in Orders module	Auto, per order approval	Sales Order / Store Request
RESERVED	AVAILABLE	Order cancelled or reservation expired	Branch Manager (if manual)	Cancellation note
RESERVED	STAGED	Picking completed	—	Picking List (picked)
STAGED	RELEASED	Checker verified + supervisor authorized + gate pass issued	Warehouse Supervisor	Delivery Receipt + Gate Pass
STAGED	AVAILABLE	Release cancelled; goods returned to storage	Warehouse Supervisor	Put-back note on Picking List
RELEASED	DELIVERED	Proof of delivery received	—	Signed DR / POD
RELEASED	AVAILABLE	Undelivered goods returned to warehouse	Warehouse Supervisor	Undelivered Return Form + re-count
DELIVERED	RETURNED — PENDING INSPECTION	Authorized customer return physically received	Branch Manager (RA issued first)	Return Authorization + Return Receiving Report
RETURNED — PENDING INSPECTION	AVAILABLE	Graded sellable	Warehouse Supervisor	Return Inspection Report
RETURNED — PENDING INSPECTION	DAMAGED	Graded unsellable	Warehouse Supervisor	Return Inspection Report
AVAILABLE	DAMAGED	Damage discovered in storage	Warehouse Supervisor	Damage Report
DAMAGED	FOR DISPOSAL	Write-off approved	Br. Manager / Owner by value	Disposal Request
FOR DISPOSAL	DISPOSED	Physical disposal witnessed	Two witnesses incl. one non-warehouse	Disposal Certificate
AVAILABLE	UNDER INVESTIGATION	Count variance above tolerance	Warehouse Supervisor	Discrepancy Case
UNDER INVESTIGATION	AVAILABLE	Case resolved, stock found/explained	Branch Manager	Case closure + Adjustment (if any)
AVAILABLE	IN TRANSIT (branch)	Branch transfer released	Branch Manager (sending)	Stock Transfer Note
IN TRANSIT (branch)	AVAILABLE (receiving branch)	Receiving branch counts and accepts	Warehouse Supervisor (receiving)	Transfer Receiving Report

Rule: any state a product sits in that is *not* AVAILABLE must be **physically separated** in the warehouse (Section 11). A state that exists only in the computer will eventually be violated by someone reaching for the nearest sack.

Rule — maximum dwell time in non-sellable states (new rule — G-09): QUARANTINE, DAMAGED, and FOR DISPOSAL count as on-hand inventory but are functionally invisible to sales and to the ordinary ABC cycle-count schedule (which targets AVAILABLE stock) — left unmonitored, they become a parking lot for stock that has been skimmed but not yet physically removed. Every item entering QUARANTINE, DAMAGED, or FOR DISPOSAL carries a system-set clock from the moment it enters that state. An item remaining in **QUARANTINE beyond 14 days**, or in **DAMAGED/FOR DISPOSAL beyond 30 days**, auto-generates a mandatory re-inspection task assigned to the Branch Manager, and is added to the next scheduled cycle count at **Class A frequency**, regardless of the underlying product's normal ABC class (Section 12.1). A standing "Quarantine & Disposal Ageing" report — items and days-in-state, oldest first — is reviewed weekly by the Auditor, independent of whether the Branch Manager has acted on the auto-escalation.

7. Complete Stock In Process

7.1 Overview



7.2 Step detail — supplier delivery

Step 1 — Gate & document check

Purpose	Confirm the delivery is expected and documented before goods enter the premises
Responsible	Security Guard
Input	Supplier vehicle, driver, delivery receipt / invoice
Output	Gate log entry (time in, plate number, supplier, document number)
Business rules	No unloading begins before the gate log entry exists. Driver leaves a company ID or licence at the gate until departure.
Exceptions	No documents → do not unload; call Supervisor. Delivery not on the expected list → Supervisor decides (Section 13, E-4).
Approval	None

Step 2 — Unloading to Receiving Area

Purpose	Move goods to a controlled, single-purpose area where counting can be done accurately
Responsible	Warehouse Receiver (supplier crew may carry)
Input	Goods on the vehicle
Output	Goods stacked in the Receiving Area only
Business rules	Goods are never unloaded directly into storage. Never stacked next to already-approved stock. One delivery occupies one clearly marked receiving lane at a time.

Exceptions	Two deliveries at once → second waits or uses a second marked lane; lanes are never merged.
Approval	None

Step 3 — Document verification

Purpose	Establish what <i>should</i> have arrived before anyone sees what did
Responsible	Warehouse Receiver
Input	Supplier DR/invoice, Purchase Order (if any)
Output	Verified expected quantities written on the Receiving Report header
Business rules	Supplier DR number, date, and supplier name are recorded before counting. If a PO exists, the PO number is recorded and the expected quantity is written down before the count begins. Deliveries without a PO are allowed (walk-in/ad hoc purchases are normal here) but are flagged for Branch Manager review. (Amended — G-04) A delivery with no matching PO , or above the three-way-match materiality threshold, additionally requires the office to log an independent supplier confirmation — a call-back to a supplier contact on file, never a number sourced from the delivery paperwork itself — before the Receiving Report can be approved to AVAILABLE (BR-031). The supplier's own DR is not, by itself, proof the shipment was genuinely dispatched by the supplier.
Exceptions	Illegible or missing supplier document → Supervisor may accept under a "Documents Pending" flag; goods go to QUARANTINE, not AVAILABLE, until documents arrive.
Approval	Supervisor, for no-document acceptance; office call-back confirmation required before Step 9 approval for no-PO/above-threshold deliveries

Step 4 — First physical count

Purpose	Establish the actual quantity received
Responsible	Warehouse Receiver
Input	Physical goods; blank Receiving Report
Output	Counted quantity per product, per variation, written in ink
Business rules	Count in the handling unit (sacks, boxes, bundles) — never estimate and never convert mentally. Broken/opened packs are counted separately as loose base units, never assumed full. Counts are written in ink; corrections are struck through once and initialled, never erased or overwritten.
Exceptions	Pack appears opened or reweighed → set aside, count separately, note "opened pack" (Section 13, E-3).
Approval	None

Step 5 — Blind second count

Purpose	Catch counting errors and deter collusion at the single highest-risk moment
Responsible	Warehouse Checker (must not be the Receiver)
Input	Physical goods — without sight of the first count
Output	Second counted quantity, recorded independently

Business rules	(Amended — G-02) The first and second counts are recorded on physically separate, individually pre-numbered Count Slips — never as two columns on one shared RR — submitted directly and only to the Supervisor by each counter, without passing through or being shown to the other counter. Where the lane layout allows it, the Receiver and Checker count from opposite ends or opposite sides of the delivery, out of speaking distance, and each slip is time-stamped on submission. The Supervisor reconciles both slips onto the RR only after both are physically in hand; an RR is invalid — and blocked from encoding — unless both underlying Count Slip numbers are recorded on it. If the two slips match → proceed. If they differ → a third count by the Warehouse Supervisor is decisive. (Amended — G-03) The Supervisor's tie-break count requires a second witness present — any other on-duty employee, logged by name — who independently writes down what they observe the Supervisor count; both the Supervisor's figure and the witness's figure are recorded, and the variance is noted with the reason.
Exceptions	Repeated mismatch on the same person → Supervisor notes it; three occurrences in a month triggers retraining (Section 12, C-14). A counter-pair whose two independent counts match <i>exactly</i> on every delivery over a rolling 90 days (15+ deliveries, zero variance) is a statistical anomaly indicating coordination rather than accuracy, and is auto-flagged for Auditor review.
Approval	Supervisor for the deciding third count, witnessed by a second on-duty employee
Why this step is non-negotiable	Without barcode scanning, blind double-counting is the <i>only</i> reliable defence against both honest miscounts and deliberate under-recording at receipt. Skipping it to save five minutes reopens the largest loss channel in the entire process.

Step 6 — Quality inspection

Purpose	Prevent unsellable goods from entering sellable stock and being discovered only at the customer
Responsible	Warehouse Receiver; Supervisor for any rejection
Input	Counted goods
Output	Quantity Accepted, Quantity Rejected, and the rejection reason per line
Business rules	Plastic-specific checks: thickness/gauge consistent with what was ordered; colour and print correct; no yellowing or brittleness (sun-degraded stock); packaging intact and dry; count per bundle/ream verified on a sample (open at least 1 pack per 20, minimum 1 per delivery, and record which pack was opened). Rejected goods are physically moved to Quarantine immediately, not left in the receiving lane.
Exceptions	Partial rejection → accept good quantity, quarantine the rest, raise a supplier claim. Whole-delivery rejection → goods stay on the truck or return to the truck; nothing is posted to stock.
Approval	Supervisor for any rejection or supplier claim

Step 7 — Receiving Report prepared

Purpose	Create the single legal source document for the receipt
Responsible	Warehouse Receiver
Input	All figures from Steps 3–6
Output	Completed, pre-numbered Receiving Report (RR)
Business rules	One RR per supplier delivery. RR is pre-numbered from a controlled booklet. It records: RR number, date/time, supplier, supplier DR number, PO number (if any), the two Count Slip numbers (G-02), per line — product, variation, quantity expected / counted 1 / counted 2 / accepted / rejected, rejection reason, storage location assigned. Signatures: Receiver, Checker, Supervisor, and supplier's driver where a variance exists. Voided RRs are marked VOID across all copies and retained. (Amended — G-05) An RR may only be voided before goods leave the Receiving Area unhandled. If goods were already counted or inspected, a void is only accepted together with a logged Return-to-Supplier gate exit of matching quantity/type, verified by the Guard. A void meeting neither condition requires Owner approval and automatically opens a Discrepancy Case — a signed-off "delivery" that is quietly voided after the goods were physically handled is treated as a potential off-book receipt, not a routine paperwork correction.

Exceptions	Errors on the RR → void it and issue a new one; never erase. Post-handling void with no matching outbound gate record within 48 hours → automatic exception requiring retroactive Owner sign-off, with the goods' current physical location accounted for.
Approval	—

Step 8 — Supervisor verification

Purpose	Independent confirmation that the paperwork matches the physical reality before stock becomes sellable
Responsible	Warehouse Supervisor
Input	Completed RR, physical goods still in the Receiving Area
Output	Verified RR
Business rules	The Supervisor physically spot-checks at least one line of the delivery — not just the paper. Both counts must be present. Any variance versus the PO must have a reason code.
Exceptions	Supervisor absent → Branch Manager verifies. Never self-verified by the Receiver.
Approval	—

Step 9 — Approval / posting

Purpose	The moment goods become company stock and become sellable
Responsible	Warehouse Supervisor (within tolerance); Branch Manager (outside tolerance)
Input	Verified RR
Output	Approved RR → stock movement authorized
Business rules	Quantity received over PO quantity beyond the agreed tolerance requires Branch Manager approval before posting. Quantity short is posted at the accepted quantity, with the shortage recorded against the supplier — never quietly accepted at PO quantity. Zero-cost lines are blocked. Lot/batch is captured where the product requires it.
Exceptions	Section 13, E-1 and E-4
Approval	Per Appendix B

Step 10 — Encoding to system

Purpose	Make the record digital, searchable, and permanent
Responsible	Encoder
Input	Approved, signed RR
Output	Posted STOCK IN movement (converted to base units by the system)
Business rules	Encoder enters the RR number first ; the system rejects a duplicate or out-of-sequence number. (New — G-01) Before the transaction can post, the Encoder captures a live photograph or scan of the signed RR through the encoding terminal/app itself — never uploaded from a gallery or a prior capture — and attaches it to the transaction record; the system stores the document's total for later independent comparison. A transaction submitted without a valid live-captured attachment is held in a "pending — no evidence" state, excluded from available stock, until resolved by a Supervisor (BR-093). Quantities are entered in the variation actually received (e.g. "5 sacks"); the system displays the base-unit result ("= 2,500 pieces") for confirmation before posting. Encoding must be completed the same day . The Encoder cannot alter accepted quantities — a wrong RR is corrected by voiding and re-issuing the paper, not by editing the entry.
Exceptions	System down → paper continues; encode on restoration with a backdated entry flagged "late encoding," requiring Supervisor approval and stating the reason (Section 13, E-10).

Approval	Supervisor for any late or backdated encoding
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Step 11 — Putaway and bin card update

Purpose	Get goods into their permanent, known location and update the physical running record
Responsible	Receiver / Picker
Input	Approved goods, assigned location
Output	Goods in storage; bin card updated
Business rules	Goods go to the assigned bin/stack only. FIFO placement: new stock goes behind or under existing stock so older stock is picked first — critical for plastics, which degrade with age and sunlight. The bin card at the stack is updated by hand: date, RR number, quantity in, new running balance in base units. Older stock is date-tagged.
Exceptions	Assigned location full → Supervisor assigns an alternate and it is written on the RR; stock is never left in an unrecorded location.
Approval	Supervisor for location change

7.3 Other Stock In sources

Source	Process	Section
Customer returns	Return Authorization → receiving → inspection → grading → restock or damage	Section 9
Positive adjustment (found stock)	Adjustment request → investigation → approval → posting	Section 10
Branch transfer in	Transfer receiving, treated as a supplier delivery with the sending branch as supplier	Section 15
Undelivered goods returned	Re-count against the DR, re-receive to AVAILABLE, close the DR as undelivered	Section 13, E-6

8. Complete Stock Out Process

8.1 Retail sale (store counter, carry-out)

CUSTOMER AT COUNTER

▼
[1] ITEM SELECTED / QUOTED

Cashier

▼
[2] AVAILABILITY CONFIRMED

Cashier (system shows on-hand)

▼
[3] PAYMENT COLLECTED

Cashier

▼
[4] SALES INVOICE / OR ISSUED

Cashier (BIR-registered, pre-numbered)

▼
[5] GOODS HANDED OVER

Cashier / counter staff

▼
[6] STOCK OUT POSTED

automatic on sale completion

▼
[7] GATE CHECK (bulk only)

Guard

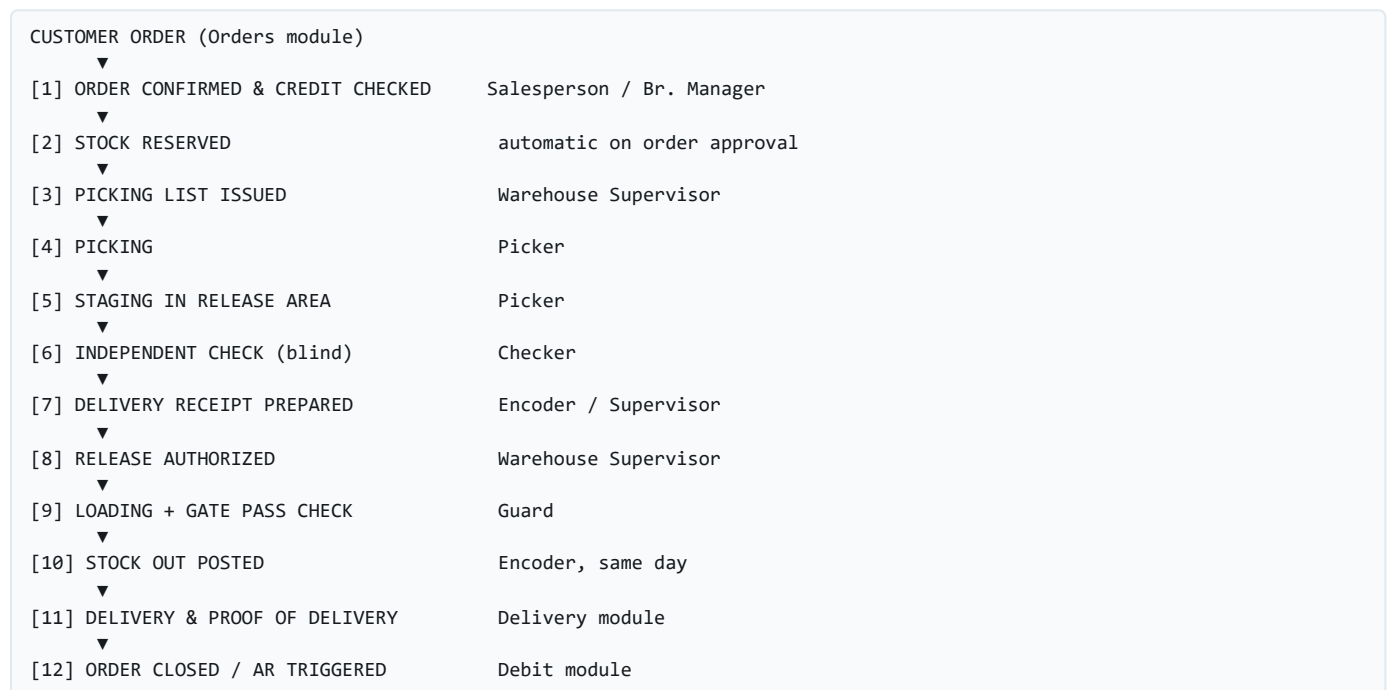
Step	Purpose	Responsible	Input	Output	Business rules	Exceptions	Approval
1	Identify what the customer wants	Cashier	Verbal request	Selected product + variation	Product chosen from a list with a photo; never typed free-hand	Product unknown → call Supervisor	–
2	Confirm it exists before promising	Cashier	System balance	Confirmed availability	Sale is blocked if on-hand is insufficient (P-08). Counter display shows quantity in the variation being sold.	Shows zero but stock appears present → do not sell; raise a Discrepancy (E-8)	–
3	Collect payment	Cashier	Cash/e-wallet	Payment received	No goods released before payment, unless a documented credit arrangement exists (Debit module)	Credit sale → Debit module rules apply	Br. Manager for credit
4	Legal + control document	Cashier	Sale details	Pre-numbered Sales Invoice / OR	BIR-registered serial numbering; every serial accounted for daily	Void → mark VOID, keep all copies	–
5	Hand over the goods	Cashier	Paid invoice	Goods with customer	Quantity handed over is read back aloud to the customer	Wrong item given → E-7	–
6	Record the movement	System	Completed sale	Ledger STOCK OUT, in base units	Automatic; no separate encoding step; sale and stock movement post together or not at all	–	–
7	Verify large removals at exit	Guard	Goods + invoice	Gate log entry	Applies above a defined quantity/value threshold — a customer walking out with 20 sacks passes a document check	No invoice → stop, call Supervisor	–

Counter stock note: where a display/counter area holds stock separate from the main warehouse, it is a **separate location** with its own bin card and its own replenishment transfer from the warehouse. Untracked counter stock is one of the most common quiet leaks in this type of business.

Voiding a sale after goods handover (new rule — G-12): Once goods have physically left the counter, a void or refund of that transaction is **never** a simple reversal. It is processed exactly like a Customer Return (Section 9): the physical goods must be re-presented, inspected, and graded before stock is restored. A void requested with no goods physically returned requires Branch Manager approval and is logged as ADJ-01 (shortage) against the original transaction — never a silent, self-service reversal by the Cashier who processed the original sale. All voided/refunded sales with no matching Return Receiving Report are listed on the Daily Exception Report by Cashier; a disproportionate void rate, especially voids clustered near shift-end or on fast-moving, easily-resold products, triggers an Auditor review.

Discount authorization (new rule — G-13): A discount beyond a small, pre-configured threshold ([threshold]% or ₱ [value], per Appendix B) requires a Branch Manager PIN entered at the point of sale, in real time, before the transaction completes — never a verbal "it's fine" reviewed later. A Discount Report by Cashier and by approving manager is reviewed weekly; concentration of large discounts under one Cashier–Manager pair is the tell.

8.2 Wholesale sale (order, pick, deliver)

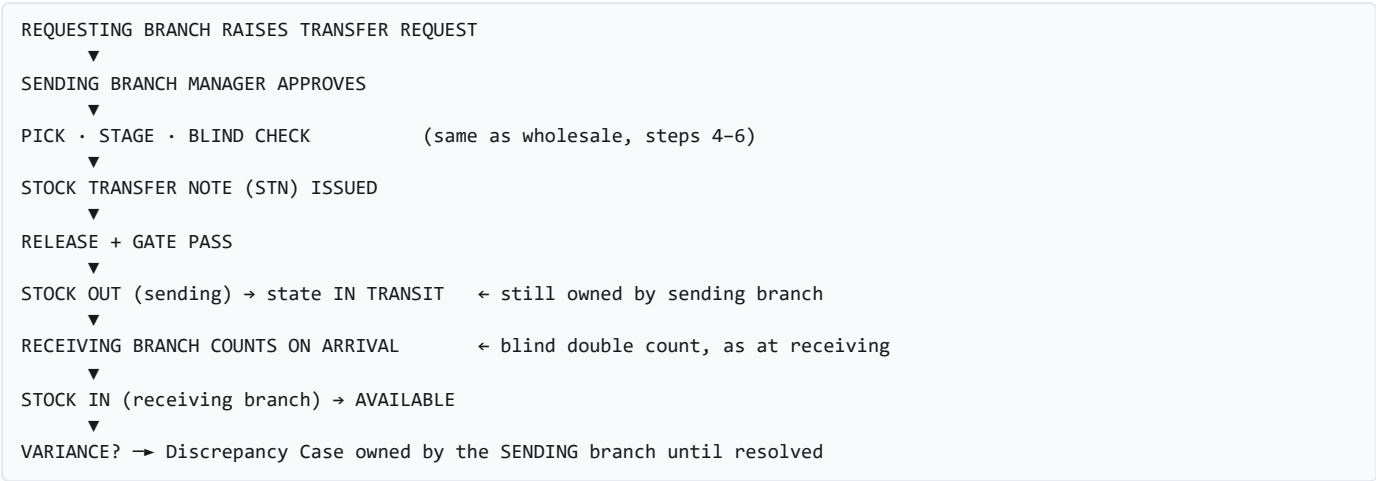


Step	Purpose	Responsible	Input	Output	Business rules	Exceptions	Approval
1	Ensure the order is real, priced, and payable	Salesperson; Br. Manager for credit	Customer order	Confirmed Sales Order	No picking against a verbal order. Credit customers pass the Debit module's credit check before reservation.	Over credit limit → Br. Manager decides	Br. Manager
2	Stop the same stock being promised twice	System	Confirmed order	Stock RESERVED	Reservation is automatic at order approval; reservation expires after N days (default 3) and returns stock to AVAILABLE with notice	Insufficient stock → partial reservation + backorder flag	–
3	Tell the picker exactly what to pull	Warehouse Supervisor	Confirmed order	Pre-numbered Picking List	Picking List shows product, variation, quantity in handling units , and location. It shows the quantity to pick; it does not show customer prices.	–	–

Step	Purpose	Responsible	Input	Output	Business rules	Exceptions	Approval
4	Pull the goods	Picker	Picking List	Goods pulled, quantities written on the list	FIFO/oldest-first is mandatory. Picker writes the actual picked quantity, which may differ from requested. Picker signs.	Location short → write actual, do not substitute silently; call Supervisor (E-5)	–
5	Assemble in one controlled place	Picker	Picked goods	Goods staged in the Release Area, tagged with the Picking List number	Staged goods for different orders are physically separated and tagged. Nothing is staged without a tag.	–	–
6	Independent verification before release	Checker (never the Picker)	Staged goods + source order	Verified quantities	Checker counts the staged goods against the order , not against the picker's numbers, and records their own count. Mismatch → correct before release and record the variance (E-2).	Repeated variance by the same picker → Supervisor review	–
7	Create the release document	Encoder / Supervisor	Verified quantities	Pre-numbered Delivery Receipt (DR)	DR quantities equal checked quantities, not ordered quantities. Multi-copy: customer, driver, office, warehouse file.	–	–
8	Authorize goods to leave custody	Warehouse Supervisor	DR + verified goods	Signed DR + Gate Pass	Supervisor's signature is the transfer of custody. Never pre-signed in blank. (New — G-10) For releases above the branch's materiality threshold, the system randomly selects a percentage (recommend 15–20%, weighted toward high-value releases) for an unscheduled, independent spot-recount performed after staging but before loading, by a person with no role in that day's picking, checking, or authorization (Cashier, Branch Manager, or Owner remotely via photo) — with no advance notice of which releases will be spot-checked.	Supervisor absent → Br. Manager	Supervisor

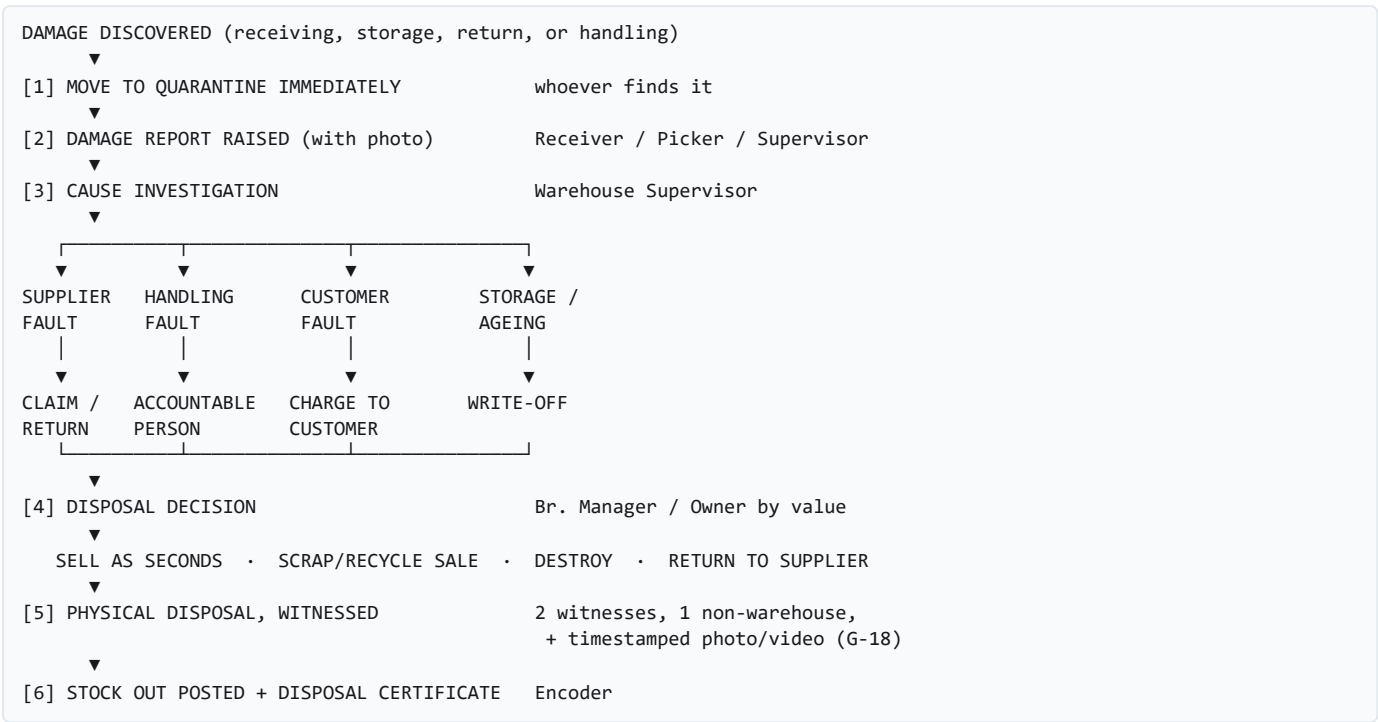
Step	Purpose	Responsible	Input	Output	Business rules	Exceptions	Approval
9	Verify the physical load at the exit	Guard + Driver	Loaded vehicle, Gate Pass	Gate log + driver signature	(Amended — G-11) Guard verifies both package count and total load weight against the expected weight range computed from the DR's declared products and quantities (master data records an expected weight per product/pack size); a variance beyond tolerance blocks exit pending Supervisor investigation. Palletized or bundled staged goods are sealed with a numbered tamper-evident seal recorded on the DR at staging and checked unbroken at the gate (C-08). Driver signs to accept custody. No Gate Pass → no exit, regardless of who says otherwise.	Count or weight mismatch at gate, or a broken/missing seal → unload and recheck; do not release	–
10	Record the movement	Encoder	Signed DR	Ledger STOCK OUT, base units	Same day, without exception. Reservation is consumed by the release. A live-captured photo of the signed DR is attached at encoding (BR-093, G-01).	Late → Supervisor-approved late-encoding flag	Supervisor
11	Prove it arrived	Driver / Delivery module	DR copies	Signed POD	Customer signs the DR on receipt; discrepancy claim window (default 48 hours) then closes. (New — G-14) Separately, the driver must return the signed POD to the office within a fixed 24-hour internal POD-return SLA , regardless of whether the customer ever disputes anything. A POD not returned within 24 hours auto-opens a Discrepancy Case naming the driver and route, and the internal comparison of checked-at-release vs. delivered quantity is never time-barred by the 48-hour customer claim window — the two are separate controls. A standing "Overdue POD" report, sorted by hours overdue, is reviewed daily by the Branch Manager (Section 14.3).	Refusal / short delivery → E-6	–
12	Trigger billing	Debit / AR module	Confirmed delivery	Invoice / AR entry	AR invoices only what Inventory released and Delivery confirmed	–	–

8.3 Branch transfer (out)



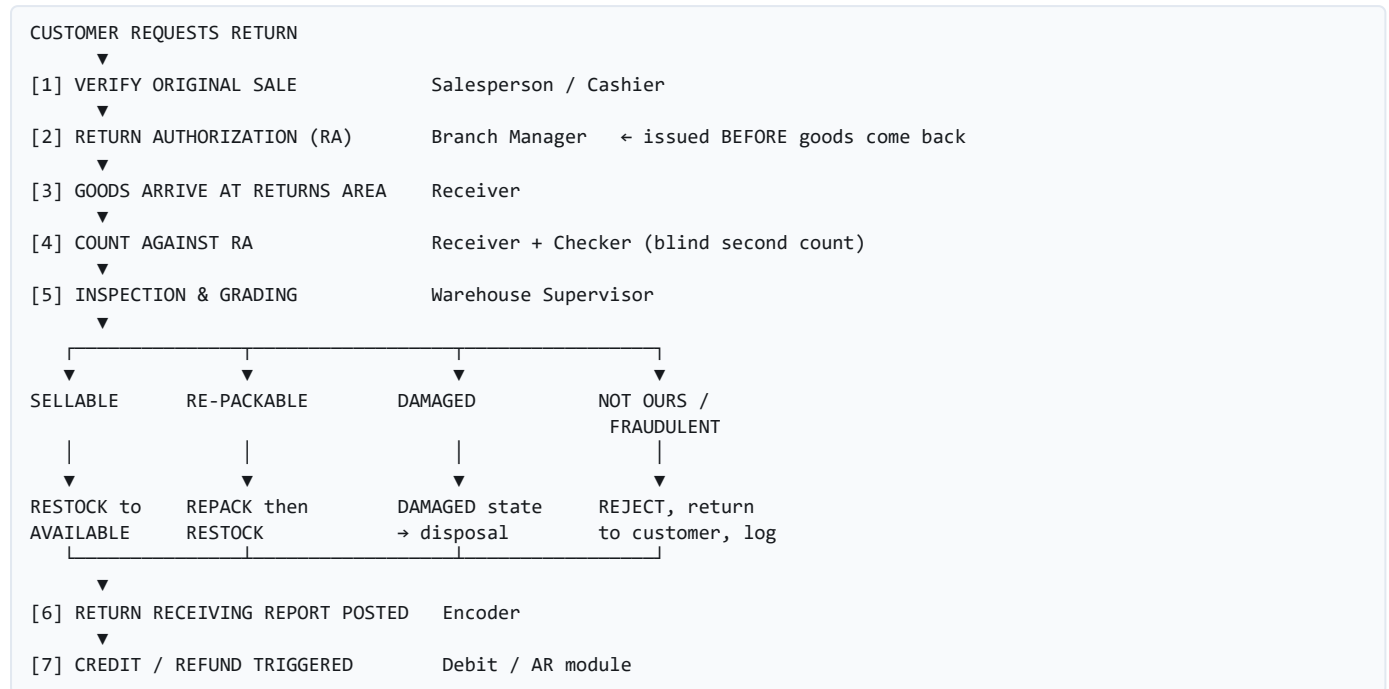
Rule	Detail
Ownership in transit	Goods in transit remain on the sending branch's books until the receiving branch confirms. This makes losses in transit attributable rather than orphaned.
Two approvals	Sending Branch Manager approves the release; receiving Branch Manager (or Supervisor) approves the receipt.
No transfer without a request	A branch cannot "push" stock to another branch without a request or an Owner instruction.
Transit tolerance	Any transit variance opens a Discrepancy Case automatically — there is no acceptable transit shrinkage.
Timeliness	Transfers not confirmed within a set window (default 3 days) are escalated to the Owner.
Independent transit evidence (amended — G-35)	Transfers above [threshold] value require evidence independent of both branches' own paperwork before the transfer can close: a third-party hauler's waybill where a contracted transporter is used, or — for company-operated vehicles — timestamped, geotagged photographs of the loaded and unloaded states at both ends. The Auditor , not either branch, confirms this evidence is present and consistent before the transfer is marked closed (BR-089). Both branches' own STN and gate logs are no longer sufficient by themselves for a transfer above threshold.

8.4 Damage & disposal



Rule	Detail
Immediate segregation	Damaged goods move to Quarantine before paperwork. Damaged stock left in the aisle gets sold.
Evidence	Photo required for every damage report. A phone camera is sufficient.
No-fault reporting (new — G-20)	Damage reporting is explicitly no-fault for the reporting individual — no disciplinary consequence attaches to timely-reported damage, regardless of cause, to remove the incentive to hide it. The alternative to a document trail is silence, and silence is undetectable by any document control; it can only be closed by making honest reporting cost nothing.
Cause is mandatory	Every damage write-off states a cause and, where applicable, an accountable party. "Damaged" alone is not an acceptable reason.
Value threshold	Write-offs above threshold require Owner approval (Appendix B).
Witnessed destruction (amended — G-18)	Physical disposal is witnessed by two people, one of whom is not warehouse staff, both signing the Disposal Certificate. A Disposal Certificate is additionally invalid without an attached, timestamped photo or short video of the goods actually being destroyed (cut, punctured, or otherwise rendered unsellable) at the moment of disposal — not a photo of intact goods "about to be" disposed of. Certificates without compliant evidence do not post the stock-out and remain in FOR DISPOSAL pending it (BR-062).
Recyclable value (amended — G-19)	Plastic scrap often has resale value. Proceeds must be recorded as a sale, not pocketed — this is a known leakage point in the industry. Scrap or seconds sales above [threshold] value require either two comparative quotes on file or sale through an Owner-approved buyer list with benchmarked rates ; a sale price significantly below the benchmark rate requires Owner approval before completion. Scrap sale price per kg is trended over time on the monthly damage/return trend review — a sustained, unexplained decline against known regional scrap rates is the tell.
Trend monitoring	Damage rate by cause and by person is reviewed monthly. A rising "handling damage" rate concentrated on one person is a finding. A location with unusually <i>low</i> reported damage but unusually <i>high</i> cycle-count variance is the specific pattern that indicates unreported damage or theft rather than genuine low breakage (Section 12.1).

9. Customer Return Process



Step	Purpose	Responsible	Business rules	Exceptions	Approval
1	Confirm we actually sold it	Salesperson / Cashier	Original Sales Invoice or DR must be identified. Quantity returnable cannot exceed the quantity sold on that document, less prior returns. (Amended — G-17) The remaining returnable quantity per invoice line is a real-time, always-current counter, decremented at RA issuance (not at return encoding) and enforced as a hard block across all branches querying the same invoice — not a paper log lookup that can lag behind a same-day double-request.	No document → return is not refused outright, but is flagged High Risk and requires Branch Manager approval with a written reason. RA request against an invoice line with zero remaining returnable quantity is a hard rejection, logged with the requester's name.	—
2	Control what comes back through the door	Branch Manager	Return Authorization is issued before the goods are physically accepted. RA is pre-numbered and states product, variation, quantity, reason, and expiry (default 7 days). Goods arriving without an RA are held in the Returns Area, not accepted into stock. (Amended — G-15) An RA additionally requires either the physical original receipt/invoice presented in person , or the returning party's identity matched against the name/contact on file for that sale — an invoice number recited or phoned in, on its own, is not sufficient. For wholesale-value returns above threshold, valid ID is logged against the RA.	Walk-in return at the counter → Cashier calls Br. Manager for an on-the-spot RA; never accept back into stock without one. An RA issued on invoice-number recall alone, with neither the physical document nor a matching identity, is automatically flagged High Risk regardless of Branch Manager approval and routes to the Auditor within 24 hours (BR-045).	Br. Manager
3	Keep returns physically separate	Receiver	Returned goods go to the Returns Area only — never directly to storage or the sales floor.	—	—

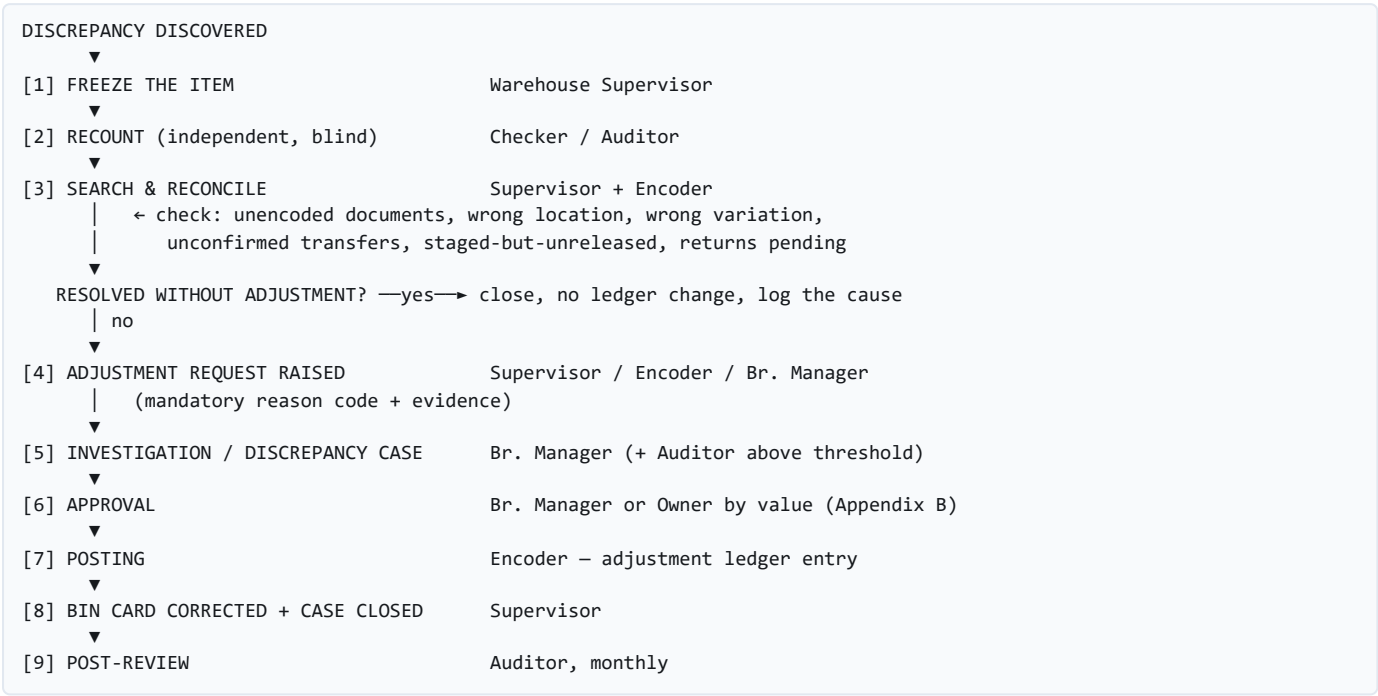
Step	Purpose	Responsible	Business rules	Exceptions	Approval
4	Establish what actually came back	Receiver + Checker	Blind double count as at receiving, using separate Count Slips (G-02). Quantity is verified against the RA, not against what the customer says.	Quantity exceeds RA → accept only up to RA quantity; excess is held pending Br. Manager decision	–
5	Decide condition honestly	Warehouse Supervisor	Grades: Sellable (original packing, clean, undamaged, not sun-aged) · Re-packable (good product, damaged outer packing) · Damaged (torn, brittle, discoloured, contaminated) · Not ours (different brand/gauge/print than we sell — a known fraud pattern). Photo required for anything not graded Sellable. (New — G-16) Returns above [threshold] value require independent double grading : a second person grades the same item without seeing the first grader's conclusion until both are recorded. A grading disagreement escalates to the Branch Manager before disposition.	Supervisor uncertain → default to Quarantine, escalate to Br. Manager. Never default to Sellable. Grading-agreement rate per Supervisor is tracked over time — a consistently 100%-agreeing second grading is as suspicious as a consistently disagreeing one, since both indicate the second grading isn't genuinely independent.	Supervisor (+ second grader above threshold); Br. Manager for disputes
6	Record it	Encoder	Return Receiving Report references the RA number and the original invoice. Stock is restored to AVAILABLE only for Sellable/Re-packed grades, and only at grading — never at physical arrival.	–	–
7	Settle the money	Debit / AR	Credit note or refund is issued only after grading is complete. Damaged returns may be credited at a reduced value or refused per policy.	–	Br. Manager

Return control rules

#	Rule
R-1	Goods physically returned are not stock until graded. Between arrival and grading they sit in RETURNED — PENDING INSPECTION.
R-2	The person who authorized the RA should not be the sole inspector for returns above the value threshold.
R-3	Cumulative returns per invoice line can never exceed the quantity originally sold on that line.
R-4	Return reasons come from a fixed list (wrong item · wrong size/gauge · damaged on delivery · defective · over-delivered · customer cancelled · unsold stock return), never free text alone.
R-5	Returns by customer and by product are reviewed monthly. A single customer with a high return rate, or a pattern of "unsold stock" returns, is a commercial and fraud signal.
R-6	Returned goods restocked must be placed to be picked first (they are already older stock).
R-7	Returns above the value threshold require independent double grading by two people; the second grader must not see the first grader's conclusion until both are recorded (G-16).

10. Inventory Adjustment Process

An adjustment is a stock change with no external counterparty. It is the **most dangerous transaction in the system**, because it is the only one that can create or destroy stock on internal say-so. It is therefore the most heavily controlled.



10.1 Who may do what

Action	Who	Never
Request an adjustment	Warehouse Supervisor, Encoder, Branch Manager, Auditor (as a finding)	Picker, Receiver, Cashier, Guard
Investigate	Branch Manager; Auditor above threshold	The requester alone
Approve	Branch Manager (within threshold); Owner (above)	Never the requester , at any value
Post	Encoder, only after approval	Anyone, before approval
Review after the fact	Auditor, monthly	–

10.2 Allowed reasons (fixed list — free text is supplementary only)

Code	Reason	Direction	Evidence required
ADJ-01	Physical count variance — shortage	Negative	Signed count sheet + recount
ADJ-02	Physical count variance — overage	Positive	Signed count sheet + recount
ADJ-03	Damage found in storage	Negative	Photo + Damage Report
ADJ-04	Encoding error correction	Either	Original source document
ADJ-05	Wrong variation / conversion posted	Either	Original source document

Code	Reason	Direction	Evidence required
ADJ-06	Found stock (previously written off)	Positive	Supervisor statement + location
ADJ-07	Sample / promotional / own use	Negative	Approved requisition
ADJ-08	Expiry / degradation (sun-aged, brittle)	Negative	Photo + Damage Report
ADJ-09	Repacking loss / conversion remainder	Negative	Repacking Record
ADJ-10	Theft / confirmed loss	Negative	Incident report + Owner approval mandatory
ADJ-11	Opening Balance — a distinct, one-time-per-product transaction type, never an ordinary adjustment (BR-064)	Either	Owner-signed Opening Balance Count Sheet — allowed once per product, ever, at go-live ; the transaction type is disabled system-wide after that branch's go-live cutover date

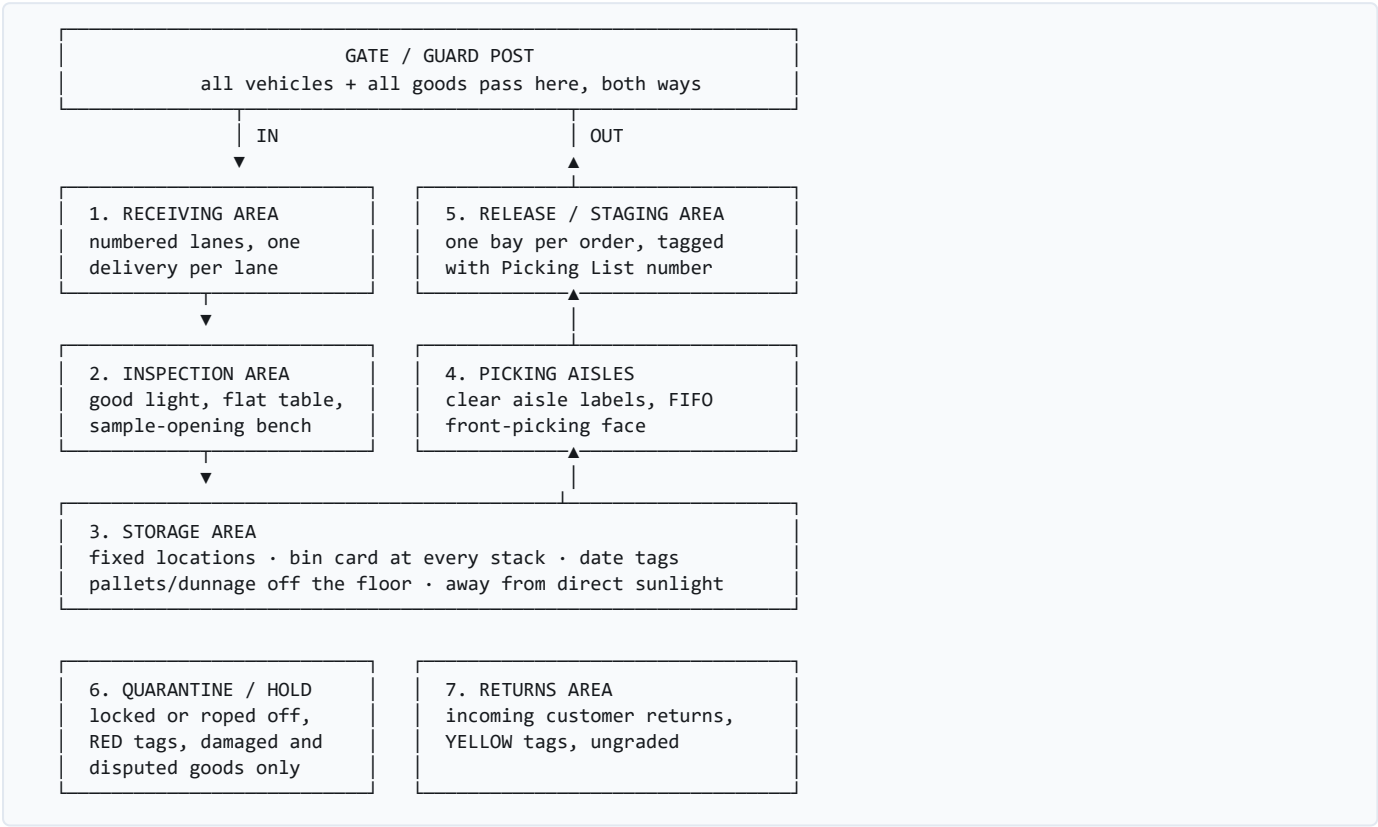
10.3 Adjustment control rules

#	Rule
A-1	An adjustment is never the first response to a discrepancy. Step 3 (search and reconcile) must be documented as completed first. Most "missing" stock is misplaced, mis-encoded, or in the Release Area.
A-2	Requester ≠ approver. Always. No value is small enough to waive this.
A-3	Every adjustment carries a reason code from the fixed list.
A-4	Adjustments above the Owner threshold require the Owner's approval and an Auditor review before posting.
A-5	ADJ-10 (theft/confirmed loss) always requires Owner approval and a written incident report, regardless of value.
A-6	Adjustments cannot be back-dated into a closed period. A closed period is corrected in the current period with a reference to the original date.
A-7	A posted adjustment cannot be edited or deleted — only reversed by a new, separately approved adjustment.
A-8	Repeated adjustments on the same product, location, or person are flagged automatically and reviewed by the Auditor. Three in a rolling 90 days on the same product/location is an automatic investigation.
A-9	The net value and gross value of adjustments are both monitored. Offsetting plus/minus adjustments that net to near zero are a classic concealment pattern and must not be allowed to hide in a net figure.
A-10	No adjustment may be used to "balance" the books before a physical count. Counts are recorded first; adjustments follow from them, never precede them.
A-11	(New — G-21) Approval-tier routing is based on the cumulative value of a single requester's adjustments within a rolling 7-day window , not on individual transaction value alone — the peso thresholds in Appendix B apply to that rolling total, not just to each adjustment line. Once a requester's rolling total crosses a threshold, all adjustments in that window — including already-approved ones below the old threshold — are re-routed for the higher tier of approval. This closes the loophole of splitting one large loss into several smaller adjustments across different products to stay under a per-transaction threshold. A standing "Adjustment Velocity by Requester" report, showing rolling 7/30-day cumulative value per person, is reviewed weekly by the Auditor.

11. Warehouse Operational Workflow (Manual)

The warehouse stays manual. Layout and discipline therefore are the control system. Physical separation is what prevents mistakes that no software can catch after the fact.

11.1 Zone layout



11.2 Zone rules

Zone	Purpose	Rules	Who may enter
1. Receiving	Hold arriving goods during counting	Never mixed with approved stock. One delivery per marked lane. Cleared before the next delivery.	Receiver, Checker, Supervisor, supplier crew (supervised)
2. Inspection	Verify quality and sample-open packs	Good light and a flat surface. Opened sample packs are re-sealed and marked.	Receiver, Supervisor
3. Storage	Hold available stock	Every stack has a fixed location code, a bin card , and a date tag. Stacked off the floor. Kept away from direct sunlight and heat — plastics degrade. Aisles kept clear.	Warehouse staff only
4. Picking aisles	Pull goods for orders	Oldest stock at the picking face. Picking only against a Picking List. No picking "from memory."	Picker, Supervisor
5. Release / staging	Hold picked goods pending check and release	Each order in its own bay, tagged with the Picking List number. Nothing staged without a tag. Cleared daily — nothing sleeps in staging.	Picker, Checker, Supervisor, driver (at loading)
6. Quarantine	Isolate damaged/disputed/held goods	Physically separated and visibly marked with RED tags . Locked where possible. Nothing leaves without a Branch Manager signature.	Supervisor, Br. Manager

Zone	Purpose	Rules	Who may enter
7. Returns	Hold incoming returns pending grading	YELLOW tags. Never adjacent to sellable stock. Cleared within 48 hours.	Receiver, Checker, Supervisor

11.3 The bin card — the manual warehouse's core control

Every stack has a **physical bin card** (stock card / kardex) hanging on it, updated by hand at every movement.

Date	Document no.	In	Out	Balance	Initials
08/05	RR-0231	2,500		4,300	JR
08/05	DR-1188		1,000	3,300	AM

Why this matters more than anything else in this section: the bin card is a record of stock maintained by **warehouse hands**, and the system ledger is a record maintained by the **Encoder from signed documents**. They are two independent records of the same reality. When they agree, stock is almost certainly right. When they disagree, the difference is discovered in **days, not months**, and it points at a specific document, a specific date, and a specific pair of initials. This is the manual substitute for barcode verification, and it costs the price of a printed card.

Bin card rules

1. **(Amended — G-07)** One card per product per location, maintained on **numbered, bound pages within a single branch-held ledger book per storage zone** — never on loose or replaceable individual cards. Pages cannot be removed without leaving a visible stub, and every page's opening balance is cross-signed by the Supervisor at issuance. The book stays physically at the zone.
2. Written in ink, at the moment of the movement — never reconstructed later.
3. Every line references a document number. A line without one is itself an exception.
4. Errors: strike through once, write the correction, initial. Never erase, never use correction fluid.
5. Balance is always in the **base unit**.
6. **(Amended — G-07)** A full ledger book is filed, never discarded; a new book carries forward the balance, cross-signed by the Supervisor, and references the old book. Where practical, each day's bin card entries are photographed and timestamp-uploaded at end-of-day close (SOP-08 step 7), creating an external, warehouse-staff-inaccessible copy of that day's card state — a rewritten card cannot be made to match its own photographed history.
7. The Supervisor compares bin card balances to the system on the daily cycle-count sample; the Auditor does so on surprise checks. Any missing page-stub or out-of-sequence page number is a hard exception raised at the next Auditor visit.

11.4 Manual work discipline

Practice	Rule	Why
Count aloud in pairs	The counter says the number aloud; the second person hears it	Catches the "counted 12, wrote 21" transposition, which is the most common manual counting error
Count in fixed groupings	Stack in tens or in fixed layer patterns; count layers × per-layer	Counting a jumbled pile is where errors and disputes are born
Write in ink, correct by strike-through	Never erase, never use correction fluid	An erased figure is indistinguishable from a concealed one
One document, one job, finish it	Do not start a second pick before finishing the first	Interleaved tasks are how goods end up on the wrong order

Practice	Rule	Why
Tag everything staged	No untagged goods anywhere outside storage	Untagged goods in the release area are the easiest thing in the warehouse to remove
Nothing leaves without a paper	No exceptions for staff, family, owner, or urgent customers	The moment one exception is allowed, the control is gone
Clear the release area daily	Nothing sleeps in staging overnight	Overnight staged goods are unattributable if short in the morning
Personal bags stay outside the warehouse	Lockers at the entrance	Removes both temptation and suspicion; protects honest staff
Announce every discrepancy immediately	Same shift, to the Supervisor, before it is "sorted out"	A discrepancy reported late is a discrepancy that cannot be investigated

12. Internal Controls

#	Control	Type	Frequency	Owner	Why it exists
C-01	Blind double count at receiving	Preventive	Every delivery	Supervisor	Highest-risk moment: goods exist physically but not yet in any record. Only two independent counts make under-recording detectable.
C-02	Blind check count at release	Preventive	Every release	Supervisor	Prevents over-picking with the surplus diverted, and short-shipping a customer.
C-03	Pre-numbered controlled forms	Preventive	Continuous	Supervisor	A skipped or reused number is the standard way an undocumented removal is concealed.
C-04	Daily form accountability	Detective	Daily	Br. Manager	Every serial issued is accounted for as used, voided, or unused — the day it happens, not at audit time.
C-05	Bin card vs. system reconciliation	Detective	Daily (sample), weekly (zone)	Supervisor / Auditor	Two independent records reconciled — the manual warehouse's substitute for scan verification.
C-06	Segregation of duties (SoD-1...4)	Preventive	Continuous	Owner	No single person can both move goods and control the record of them.
C-07	Maker-checker on adjustments	Preventive	Every adjustment	Owner	Closes the only transaction type that can create or destroy stock internally.
C-08	Gate pass control (<i>amended — G-11: now verifies package count and load weight against expected range, plus tamper-evident numbered seals on palletized/bundled loads, checked unbroken at exit</i>)	Preventive	Every exit	Guard	The last physical checkpoint. Everything else can be defeated on paper; the gate is physical. A package-count-only check catches a quantity swap but not a contents swap (e.g. a sellable sack substituted for a "damaged" one); weight and seals close that gap.
C-09	Negative-stock block	Preventive	Continuous	System	Forces a shortage into the open at the moment it occurs instead of hiding for months.
C-10	Same-day encoding	Preventive	Daily	Br. Manager	Every hour between the physical event and the record is an hour where the two can diverge unnoticed.
C-11	ABC cycle counting	Detective	Daily rolling	Supervisor	Finds variance in days rather than at the annual count, while the trail is still warm.
C-12	Surprise counts by the Auditor	Detective	Random, ≥ monthly	Owner	Scheduled counts can be prepared for; surprise counts cannot.

#	Control	Type	Frequency	Owner	Why it exists
C-13	Daily exception report to the Owner <i>(amended — G-28: generation and delivery configuration is centrally controlled, not editable by any branch-level role including the Branch Manager or System Administrator; delivered via at least two independent channels; the Owner can pull an on-demand equivalent at any time from the same centrally-controlled source)</i>	Detective	Daily	Owner	Ensures the person with the most to lose sees anomalies without having to ask. A report generated and dispatched by a component the Branch Manager can locally configure can be quietly suppressed or delayed without the Owner noticing a difference between "clean" and "missing." A missing scheduled delivery on any channel is itself logged and alerts the Auditor directly — silence is never treated as clean.
C-14	Variance-by-person tracking	Detective	Monthly	Auditor	Loss patterns are usually concentrated, not evenly distributed.
C-15	Supplier performance tracking	Detective	Monthly	Br. Manager	Separates supplier short-shipment from internal loss — different root causes, different fixes.
C-16	Physical zone segregation	Preventive	Continuous	Supervisor	A status that exists only in the computer will eventually be violated by someone reaching for the nearest sack.
C-17	Restricted cost visibility	Preventive	Continuous	Owner	Limits both commercial leakage and targeting of high-value stock.
C-18	Named-user access, no shared logins	Preventive	Continuous	Sys Admin	Without this, "who did it" is unanswerable and every other control weakens.
C-19	Immutable ledger, reversal-only correction	Preventive	Continuous	System	Prevents retroactive rewriting of history to match a count.
C-20	Annual full physical count	Detective	Yearly	Owner	The definitive check that the whole system is telling the truth.
C-21	Off-site backup + tested restore	Corrective	Daily backup, quarterly restore test	Sys Admin	Typhoon, flood, fire, and theft are real risks in Iloilo. An untested backup is not a backup.
C-22	Two-witness disposal	Preventive	Every disposal	Br. Manager	"Disposal" is otherwise an easy cover for removal.
C-23	Reservation expiry	Detective	Continuous	System	Prevents stock being locked indefinitely by stale orders, hiding real availability.
C-24	Staging area cleared daily	Preventive	Daily	Supervisor	Removes the pool of unattributable goods sitting outside both storage and the ledger.

12.1 Cycle counting design (ABC)

Class	Definition	Count frequency	Tolerance before investigation
A	Top ~20% of products by value moved, plus all theft-prone/small-high-value items	Weekly	0 units — any variance investigated
B	Next ~30%	Monthly	≤ 0.5% of counted quantity

Class	Definition	Count frequency	Tolerance before investigation
C	Remaining ~50%, low value, bulky	Quarterly	≤ 1% of counted quantity

Counting rules

1. Counts are **blind** — the count sheet shows product and location, never the expected quantity (P-14).
2. The counter is never the person with primary custody of that zone that week.
3. **(Amended — G-08)** Counts happen at a time of no movement (before opening or after closing), or the zone is frozen during the count — and for the duration of a scheduled cycle count, the **system blocks generation of new Picking Lists and new Receiving postings branch-wide**, not only for the counted location, unless the Warehouse Supervisor logs a named, reasoned exception (SOP-07). A movement encoded with a timestamp inside a declared count window is auto-flagged as a count-window violation, whichever location it touched.
4. Variance → immediate recount by a different person **before** any adjustment is raised.
5. Variance confirmed above tolerance → Discrepancy Case, not a quiet adjustment.
6. The count is recorded first and adjusted after. Never the reverse (A-10).
7. **(New — G-20)** A cycle-count shortfall on a product/location with **zero damage reports** in the preceding count period is escalated **one severity tier above** an equivalent shortfall where damage was actively being reported — the absence of reporting is itself evidence weighing toward concealment, not toward a cleaner record.
8. **(New — G-25)** Cycle count compliance is itself a tracked, mandatory-SLA metric. Every scheduled count (by ABC class) not completed within its scheduled window is auto-logged as a compliance exception. Two consecutive missed counts on the same product/location auto-escalate to the Owner and force that item to the next Auditor-led surprise count, independent of the branch's own scheduling. A "Cycle Count Compliance %" KPI (O-6, Section 2.1) is tracked on the Owner's dashboard alongside the Shrinkage Rate — sustained decline, or persistent gaps on specific products/locations, is itself the alarm, not a downstream discrepancy.

13. Exception Handling

Every exception follows the same skeleton: **Stop** → **Segregate** → **Document** → **Escalate** → **Resolve** → **Record** → **Review**.

13.1 Exception catalogue

E-1 — Wrong quantity delivered by supplier

```

Count 1 ≠ Count 2 ? —yes→ Third count by Supervisor → decisive figure
    | no
    ▼
Counted ≠ Supplier DR ?
    | yes
    ▼
SHORT: record ACCEPTED = actual counted. Note shortage on RR.
       Driver signs the shortage. Supervisor raises a supplier claim.
       ▶ Never post the DR quantity "to be fixed later."
OVER:  within tolerance → Supervisor approves, post actual
       above tolerance → Br. Manager decides: accept & bill, or return excess
                               Excess held in QUARANTINE until decided.
  
```

E-2 — Wrong quantity at picking / checking

```

Checker's count ≠ order quantity
    ▼
Return to the aisle, re-pick or put back, recount → corrected
    ▼
Log the variance against the Picker on the Picking List
    ▼
Same picker, 3 variances in 30 days → Supervisor review + retraining
Pattern of one-directional variance → Auditor investigation
  
```

E-3 — Wrong product / wrong variation

```

Discovered BEFORE release → correct, no ledger impact, note on the document
Discovered AFTER release → customer contacted same day
                           └ customer keeps it → DR amended by credit/debit note
                           └ customer returns it → RA issued, return process (Sec. 9),
                                                    correct product released as replacement
Discovered in the SYSTEM only (encoding error) → ADJ-05, both sides corrected,
                                                  requester ≠ approver
  
```

E-4 — Missing or invalid documents

```

Supplier delivery with no DR/invoice
    ▼
Do NOT reject the goods outright (it is often a supplier admin failure)
    ▼
Receive to QUARANTINE under "Documents Pending" – NOT to AVAILABLE
    ▼
Supervisor notes it; Br. Manager notified same day
    ▼
Documents received within 3 days → release to AVAILABLE
Documents not received in 3 days → return to supplier; escalate to Owner
  
```

E-5 — Inventory shortage found during picking

```

Location has less than the Picking List says
  ▼
STOP. Do not substitute. Do not pick from another location silently.
  ▼
Call Supervisor → check: other locations · staged for another order ·
                  returns pending grading · unencoded receipt
  ▼
Found elsewhere → pick from there, note the location correction, fix the bin card
Not found       → partial pick, customer informed via Orders,
                  Discrepancy Case opened for the missing quantity

```

E-6 — Customer dispute / short delivery claim

```

Customer claims short delivery
  ▼
Within the claim window (default 48h) ?
  | no → claim closed per policy; Br. Manager may allow an exception, in writing
  ▼ yes
Compare: Picking List · Checker's count · DR · Gate Pass · Guard's package count
  ▼
├ Records agree internally and the DR is signed by the customer
  │   → claim declined, documented, customer shown the signed DR
├ Internal records disagree at one step
  │   → that step and person are identified; Discrepancy Case; customer made whole
└ Genuine short shipment confirmed
  │   → replacement delivery or credit note; ledger corrected via approved adjustment;
  │   root cause recorded against the responsible step

```

E-7 — Encoding error

```

Discovered before end-of-day close → void the entry, re-encode, Supervisor initials
Discovered after close             → ADJ-04 correcting adjustment,
                                   requester ≠ approver, original stays visible
Repeated errors by one Encoder    → retraining; considered in the monthly review

```

The system never allows a posted entry to be edited into correctness (P-06). Correction is always a new, visible entry.

E-8 — Lost inventory (system says present, shelf is empty)

```

[1] FREEZE the item – no sales, no picking          Supervisor, immediately
[2] BLIND RECOUNT by someone else                  Checker/Auditor
[3] SEARCH: other locations · staging · returns ·
    quarantine · unconfirmed transfers ·
    unencoded documents · counter/display stock      Supervisor + Encoder
[4] Found → correct location record, close, no adjustment; log the cause
[5] Not found → DISCREPANCY CASE opened
    └ pull every ledger movement since the last verified count
    └ list every person who handled the product in that window
    └ review gate log for the window
    └ Br. Manager + Auditor review
[6] Resolution: recovered · supplier-caused · handling-caused · unexplained
[7] Unexplained above threshold → Owner approval + ADJ-01/ADJ-10 write-off
[8] Case closed only with a documented cause. "Unknown" is a valid cause
    ONLY with the Owner's signature.

```

E-9 — Found inventory (shelf has more than the system says)

Treated with EQUAL seriousness as a shortage – an overage usually means an earlier transaction was wrong, and the offsetting shortage is elsewhere.



Blind recount → confirmed overage



Search for the cause: unencoded return · double-encoded release ·
wrong variation conversion · transfer received but not posted ·
another product's stock misplaced here



Cause found → correct the specific transaction (ADJ-04/05)
Cause not found → ADJ-02 positive adjustment, Br. Manager approval,
flagged for the Auditor's monthly review



NEVER offset a found overage against an unrelated shortage. Each is
recorded separately with its own reason (A-9).

E-10 — System downtime / power failure

Brownout, internet loss, hardware failure, typhoon



[1] REVERT TO PAPER IMMEDIATELY – operations do not stop.
All processes in this document work on paper; only encoding pauses.



[2] Supervisor records the downtime start time in the Downtime Log



[3] Manual availability check uses the BIN CARDS (this is exactly why they exist)



[4] Releases during downtime require SUPERVISOR authorization on every
document, and bin card update is mandatory before the goods move



[5] On restoration: encode all pending documents in DOCUMENT NUMBER ORDER,
flagged "late encoding" with the downtime reference



[6] Reconcile bin cards to the system before the next day's operations begin



[7] Downtime exceeding one business day → Owner notified; a bin-card-based
interim count of Class A items before resuming normal releases

E-11 — Damaged delivery

Damage visible on arrival → do not accept into the receiving lane;
photograph on the truck, note on the DR,
driver signs, quantity rejected

Damage found during inspection → accept good quantity, quarantine damaged,
photo + Damage Report, supplier claim raised

Damage found after putaway → Damage Report; cause investigation
determines supplier vs. handling fault (Sec. 8.4)

E-12 — Suspected theft

- [1] Do NOT confront on the spot. Do NOT announce.
- [2] Report privately to the Branch Manager, who informs the Owner the same day.
- [3] Preserve evidence: documents, gate log, bin cards, the physical area.
- [4] Owner authorizes a surprise count of the affected products by the Auditor.
- [5] Findings documented in a Discrepancy Case before any accusation is made.
- [6] Any write-off uses ADJ-10 and requires the Owner's approval.
- [7] Personnel action is the Owner's decision, guided by Philippine labour law
and due process; the inventory record is corrected regardless of the outcome.

14. Daily Operations

14.1 Morning opening

Time	Activity	Responsible	Output
T-30 min	Unlock, walk the warehouse, visually check for tampering, water, pest, or fire damage	Supervisor + Guard	Opening walkthrough note
T-25	Confirm the release/staging area is empty as it was left	Supervisor	Confirmed or exception raised immediately
T-20	Check quarantine and returns areas: contents match yesterday's list	Supervisor	Confirmed or exception
T-15	Issue form booklets for the day; record starting serial numbers	Supervisor	Form Control Log
T-10	Review yesterday's open items: pending encodings, open cases, unconfirmed transfers	Br. Manager	Day's priority list
T-5	Toolbox brief: expected deliveries, priority orders, yesterday's errors, one control reminder	Supervisor	Team briefed
T-0	Open	—	—

14.2 Normal operations (continuous rules)

1. Deliveries are received as they arrive; the receiving lane is cleared before the next delivery is unloaded.
2. Picking runs against issued Picking Lists only; each is completed before the next begins.
3. Every movement updates the bin card **at the moment of movement**.
4. Encoding runs continuously through the day, not saved for the evening — an Encoder facing 40 documents at 5 PM makes mistakes.
5. Every discrepancy is reported to the Supervisor **within the shift it is discovered**.
6. The staging area is worked down through the day; nothing waits for tomorrow.
7. The Supervisor performs the day's cycle count sample during a quiet period.

14.3 End-of-day closing

Step	Activity	Responsible	Rule
1	All source documents collected and sequenced	Encoder	Every document from every booklet, in order
2	Form accountability: every serial issued today is used, voided, or returned unused	Supervisor + Br. Manager	Any unaccounted serial stops the close until explained
3	All documents encoded	Encoder	Zero pending encodings is the standard
4	Staging area confirmed empty; anything left is documented with a reason	Supervisor	Nothing sleeps in staging

Step	Activity	Responsible	Rule
5	Quarantine and returns contents listed and signed	Supervisor	Carried forward to tomorrow's opening check
6	Cycle count sample results recorded; variances raised	Supervisor	Counted first, adjusted after
7	Bin cards for today's moved products compared to the system	(Amended — G-26) A person who did not personally receive, release, or encode transactions for that product that day — the Cashier, a rotating staff member, or, where branch staffing makes on-site independence impossible, the Owner reviewing the photographed bin card and system export remotely	Mismatches raised as exceptions today, not tomorrow. Reconciliation sign-off is logged with the reviewer's identity and their role relationship to that day's transactions; any reconciliation signed off by someone who also performed a transaction being reconciled is excluded from "clean close" counts and routed to the Auditor.
8	Daily reconciliation prepared and signed	Encoder → Br. Manager	Below
9	Exception report sent to the Owner	Br. Manager	Sent daily whether or not anything is wrong
10	Warehouse locked; gate log closed	Supervisor + Guard	Closing walkthrough note

14.4 Daily reconciliation

Opening balance (yesterday's closing, from the system)
 + Stock in today (receipts + returns restocked + positive adjustments + transfers in)
 - Stock out today (retail + wholesale + damage write-offs + negative adjustments + transfers out)
 = Expected closing balance
 ▼
 Compare against: bin cards of all products moved today
 ▼
 AGREE → Br. Manager signs the daily reconciliation
 DISAGREE → exception raised TODAY, resolved or escalated before opening tomorrow

14.5 Daily reports

Report	Audience	Purpose
Daily Stock Movement Summary	Br. Manager	Everything in and out today, by document
Daily Exception Report	Owner	Adjustments, count variances, blocked negative-stock attempts, late encodings, unaccounted forms, overdue transfers, open cases, overdue PODs (G-14), emergency role-collapse elevations (G-29). Centrally generated and delivered on ≥ 2 independent channels, not configurable by any branch role (C-13, G-28).
Pending Encoding List	Br. Manager	Must be empty at close
Low Stock / Out of Stock	Br. Manager, Owner	Reorder action

Report	Audience	Purpose
Open Discrepancy Cases	Owner, Auditor	Ageing investigations
Form Accountability Sheet	Br. Manager	Every serial accounted for

14.6 Weekly and monthly rhythm

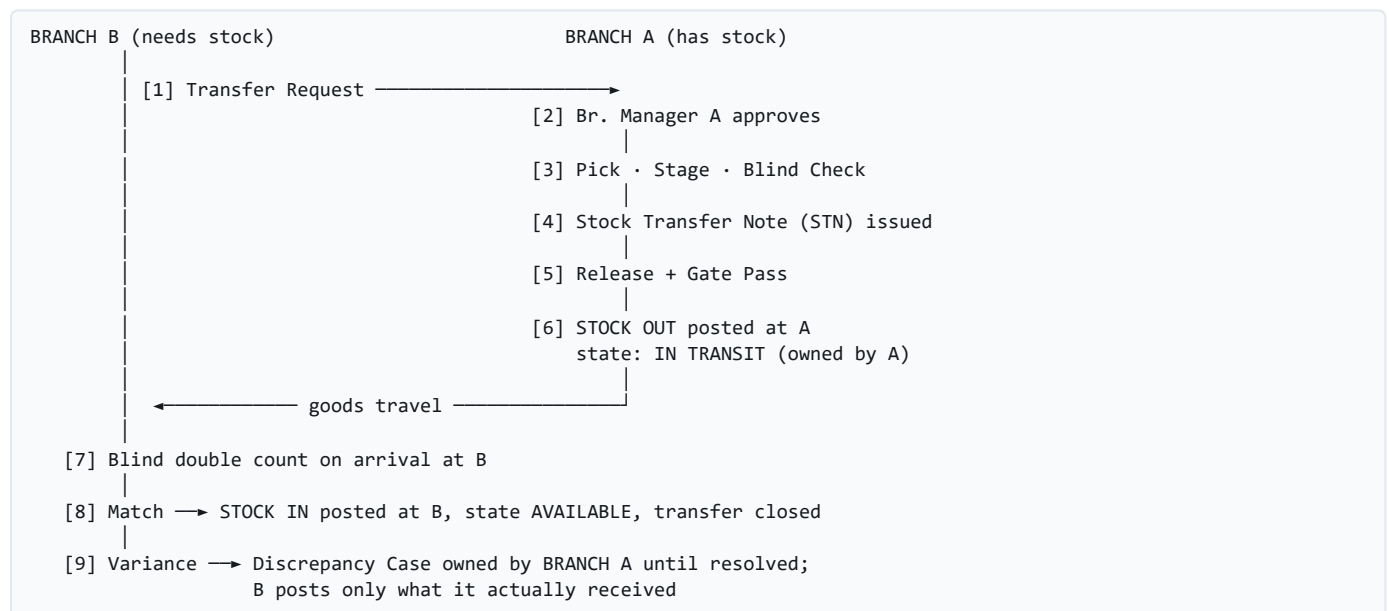
Cycle	Activity
Weekly	Class A cycle count · zone bin-card reconciliation · adjustment review by Br. Manager · supplier variance review · staging/quarantine ageing review
Monthly	Class B cycle count · Auditor's surprise count · variance-by-person and variance-by-location analysis · damage and return trend review · supplier scorecard · slow/dead stock review · form booklet audit
Quarterly	Class C cycle count · full internal control self-assessment · backup restore test · role and access review
Annually	Full physical inventory count · policy and threshold review · full audit

15. Multi-Branch Readiness

15.1 Principles

#	Principle	Reason
MB-1	Stock is owned by exactly one branch at all times.	Shared, unowned stock is stock nobody is accountable for.
MB-2	Every branch is a separate custody unit with its own locations, bin cards, form booklets, and reconciliation.	Accountability must be traceable to a specific team.
MB-3	Goods in transit belong to the sending branch until the receiving branch confirms.	Makes transit losses attributable rather than orphaned.
MB-4	Transfers require approval on both ends.	Prevents "pushing" stock to hide a variance at the sending branch.
MB-5	Product master data, units, and conversion rates are global; prices and stock are per branch.	A sack must mean 500 pieces everywhere, or consolidated reporting is meaningless.
MB-6	Every document number carries a branch code.	Prevents duplicate numbers across branches and identifies origin instantly.
MB-7	Users belong to a branch; cross-branch visibility is an explicit permission.	Least privilege scales with the branch count.
MB-8	Each branch reconciles daily on its own; the Owner sees consolidated figures.	Local accountability, central oversight.

15.2 Inter-branch transfer flow



15.3 Multi-branch controls

Control	Detail
Transit ageing	Any transfer unconfirmed beyond the window (default 3 days) appears on the Owner's daily exception report.

Control	Detail
Transit variance	Zero tolerance — any difference opens a case automatically.
Independent transit evidence (amended — G-35)	Transfers above [threshold] value require transit evidence independent of both branches' own paperwork — a third-party waybill, or timestamped/geotagged photos of loading and unloading — confirmed present and consistent by the Auditor before the transfer closes (BR-089). Two branches under common informal trust cannot rely on each other's own STN and gate logs alone to substantiate a transfer above threshold.
Cross-branch visibility	A branch sees other branches' stock as availability only (for sourcing decisions); it can never transact on it.
Consolidated reporting	The Owner sees total stock, total value, and variance by branch — branch comparison is itself a control, since one branch consistently out of line is a finding.
Branch opening	A new branch starts with a counted, approved Opening Balance (ADJ-11), signed by the Owner, posted through the dedicated Opening Balance transaction type (BR-064). Opening balances are a one-time, per-product event, and the transaction type is disabled once that branch's go-live cutover has passed.
Rotation	Where practical, supervisors and counters rotate between branches periodically — long-unrotated custody is a known risk factor.

16. Future ERP Integration

Inventory is the **stock authority**. Other modules request; Inventory decides and records.

```

ORDERS — "reserve 10 sacks" —> INVENTORY —> yes/no + reservation ID
ORDERS — "release order #123" —> INVENTORY —> release document
INVENTORY — "stock released" —> DELIVERY —> dispatch & POD
DELIVERY — "delivered/confirmed" —> INVENTORY —> closes the movement
INVENTORY — "released + confirmed" —> DEBIT/AR —> invoice
POS — "sold 3 bundles" —> INVENTORY —> stock out + block if unavailable
POS — "customer return" —> INVENTORY —> return process
  
```

Module	Inventory provides	Inventory requires	Hard boundary
Orders	Available-to-promise quantity (available minus reserved); reservation confirmation and expiry; partial-availability response	An approved order document before any reservation; a cancellation signal to release reservations	Orders can never change stock quantity — only reserve and request release
Delivery	Released goods with a release document listing exact quantities per line	Proof of delivery, or documented return of undelivered goods to the warehouse	Delivery cannot alter released quantities; a difference is a return or a discrepancy case, never an edit
Store / POS	Live sellable quantity per variation; hard block when insufficient; price per variation	A completed sale, or a completed void, as a single atomic event	POS cannot sell what Inventory does not have; POS cannot adjust stock
Debit / AR	Confirmed released and delivered quantities; cost basis for margin	Nothing operationally; AR must not invoice beyond what Inventory confirms	AR can never trigger a stock movement
Purchasing (future)	Reorder alerts, consumption rates, supplier short-shipment history	Approved purchase orders to receive against	Purchasing cannot post stock; only a receipt does
Accounting (future)	Valuation, cost of goods sold, write-off values, adjustment register	Approval authority for write-offs above threshold	Accounting cannot change quantities — only how they are valued

Integration rules

#	Rule
I-1	Inventory is the single source of truth for quantity. No module keeps its own stock count.
I-2	Every stock change originating in another module still creates a normal Inventory movement, with the same rules, approvals, and audit trail.
I-3	Reservation and release are separate events. Reserving is a promise; releasing is a movement.
I-4	A movement request that violates an Inventory rule is rejected , whatever module it came from. Inventory rules are not overridable by a calling module.
I-5	Every cross-module movement carries the originating document reference, so any movement can be traced back to the order, sale, or delivery that caused it.
I-6	Modules are added without changing Inventory's rules. If a new module requires an exception to these rules, the exception is a business decision requiring Owner approval and an amendment to this document — not a software workaround.

17. Business Rules

17.1 Stock integrity

#	Rule
BR-001	Stock quantity is always the sum of recorded movements. There is no function anywhere that sets a quantity directly.
BR-002	Every stock change requires a transaction of a defined type.
BR-003	Every transaction references a pre-numbered source document.
BR-004	Every transaction records who performed it and when.
BR-005	Stock can never be negative. A movement that would cause it is blocked.
BR-006	(Amended — G-22) A transaction that would drive computed stock below zero is held in a blocked state and does not post under any circumstance without a real-time Owner approval captured in the system before posting (a live mobile push-approval, not an after-the-fact narrative). There is no "post now, approve later" state for this rule, unlike ordinary late-encoding (BR-020) — no retroactive or narrative approval path exists for negative-stock overrides. Every override attempt, approved or not, is logged with full context and appears on the same day's exception report. Same-SKU/location overrides recurring more than once in 30 days force a mandatory Discrepancy Case before any further override is possible for that SKU/location, regardless of Owner willingness to approve.
BR-007	Stock is held in exactly one base unit per product.
BR-008	All movements are converted to the base unit before posting.
BR-009	Stock is tracked per branch and per location, never at company level only.
BR-010	Only AVAILABLE stock is sellable. Reserved, staged, quarantined, returned-ungraded, damaged, and in-transit stock is not.
BR-011	Available-to-promise = AVAILABLE – RESERVED. Never the raw on-hand figure.

17.2 Documents and records

#	Rule
BR-012	Posted transactions cannot be edited. (Amended — G-27) The stock ledger is additionally maintained as a hash-chained, append-only structure at the database layer , independent of application-level access controls — each row's hash incorporates the previous row's hash, so altering any historical entry breaks every subsequent hash and is mathematically detectable. This closes the gap left by "no edit" being only an application-layer rule: it defends against a compromised administrator credential, a rogue database administrator, or direct database access that bypasses the application entirely. The chain's terminal hash is exported and distributed outside the system — to the Owner and Auditor, via a channel neither the System Administrator nor branch staff control — at the close of each business day. Chain verification (recomputing the hash chain and comparing to the externally-published daily hashes) is run monthly by the Auditor, or automated with alerting on any mismatch.
BR-013	Posted transactions cannot be deleted.

#	Rule
BR-014	Corrections are new, opposite entries referencing the original.
BR-015	All controlled forms are pre-numbered, sequential, and gapless. (Amended — G-06) Controlled-form booklets are additionally ordered and range-registered centrally by the Owner or Auditor , never by branch operational staff (including the Warehouse Supervisor, who holds the booklets day-to-day but does not control their supply). A branch may not put a new booklet into circulation unless its number range is confirmed against the central registry; any document number encoded outside a registered range is a hard system rejection, not a warning. The registry is reconciled to the printer's own delivery record quarterly by the Auditor.
BR-016	Voided documents are retained, marked VOID on every copy, and accounted for. (Amended — G-05) A Receiving Report specifically may only be voided before goods leave the Receiving Area unhandled, or — if goods were already inspected/counted — only together with a logged Return-to-Supplier gate exit of matching quantity, verified by the Guard. A void meeting neither condition requires Owner approval and automatically opens a Discrepancy Case (Section 7.2, Step 7). Every VOID document is cross-referenced monthly against gate exit logs for a matching outbound movement; any VOID RR with no matching outbound gate record within 48 hours is an automatic exception requiring retroactive Owner sign-off, with the goods' current physical location accounted for.
BR-017	Every issued serial number is accounted for daily as used, voided, or unused.
BR-018	A document number can be used once. Re-use is blocked by the system. (Amended — G-34) This uniqueness is enforced by a hard database-level unique constraint on (branch code, document type, sequence number) — not solely by application/UI-layer validation. Any write path, including direct API access or data migration tooling, is subject to the same constraint with no bypass. A rejected duplicate-key write is logged and reviewed alongside duplicate-submission attempts (BR-093).
BR-019	Transactions are encoded on the day they physically occur.
BR-020	Late or back-dated encoding requires Supervisor approval, states a reason, and is flagged in reports.
BR-021	A closed accounting period cannot be posted into. Corrections post in the current period referencing the original date.
BR-022	Records are retained for at least 10 years (Philippine BIR requirement) and are never purged from the system.
BR-023	Sales invoices and official receipts follow BIR-registered serial numbering; their numbers are recorded against the stock movements they cause.
BR-093	(New — G-01) No stock-affecting transaction may be posted without an attached, timestamped image of its signed source document, captured live through the encoding terminal/app at the point of encoding — never uploaded from a gallery or a prior capture. The system stores the document's total for later independent comparison. A transaction submitted without a valid live-captured attachment is held in a "pending — no evidence" state and excluded from available stock until resolved by a Supervisor. This rule is additionally idempotent per Section 5.3 — a resubmission carrying an already-used document key does not create a second entry. A weekly, Auditor-run sample of posted transactions cross-checks typed quantity against photographed quantity; any mismatch is a same-day Discrepancy Case naming the Encoder.

17.3 Receiving

#	Rule
BR-024	Goods are not stock until counted, inspected, and approved.

#	Rule
BR-025	(Amended — G-02) Every receipt requires two independent counts; the second is blind. The two counts are recorded on separate, independently numbered Count Slips , submitted directly to the Supervisor by each counter without passing through or being shown to the other counter. An RR is invalid — and blocked from encoding — unless both underlying Count Slip numbers are recorded on it. A counter-pair whose counts match exactly on every delivery over a rolling 90 days (15+ deliveries) is auto-flagged for Auditor review as a statistical anomaly.
BR-026	(Amended — G-03) Count differences are settled by a third count from the Supervisor, and the variance is recorded. This tie-break count requires a witnessed second recording by any other on-duty employee , logged by name on the RR. The system logs, for every tie-break, whether the Supervisor's resolved figure equals the higher count, the lower count, or neither, and computes a rolling per-Supervisor bias ratio; a Supervisor whose resolutions land at or below the lower count more than 60% of the time over a rolling 20 tie-breaks is auto-flagged.
BR-027	Accepted quantity is what was physically counted, never what the supplier's document states.
BR-028	Shortages are recorded against the supplier, never absorbed.
BR-029	Overages beyond tolerance require Branch Manager approval before posting.
BR-030	Rejected goods move physically to Quarantine before the paperwork is completed.
BR-031	A receipt cannot post without product, variation, quantity, location, receiver, and unit cost. (Amended — G-04) A Receiving Report for a delivery with no matching Purchase Order , or above the three-way-match materiality threshold, additionally cannot be approved to AVAILABLE until the office has logged an independent supplier confirmation — a call-back to a supplier contact on file, never sourced from the delivery paperwork itself. This closes the gap where a plausible but forged or duplicated DR, matched only against a physical count of the same (possibly stolen or diverted) goods, would otherwise pass every internal control.
BR-032	Zero-cost receipts are blocked (free goods are recorded at a nominal or allocated cost with Branch Manager approval).
BR-033	Goods received without supplier documents go to Quarantine, never to AVAILABLE.
BR-034	Receipt approval and receipt recording are performed by different people.

17.4 Releasing

#	Rule
BR-035	Nothing is picked without an approved order and an issued Picking List.
BR-036	Picked goods are independently checked before release by someone other than the picker.
BR-037	Release requires Supervisor authorization.
BR-038	Nothing leaves the premises without a Gate Pass verified at the exit.
BR-039	Delivery Receipt quantities equal checked quantities, never ordered quantities.
BR-040	Retail sales cannot complete when stock is insufficient.
BR-041	Goods are released only against payment or an approved credit arrangement.
BR-042	Picking follows FIFO/oldest-first. Exceptions require Supervisor approval with a reason.
BR-043	Staged goods not released by end of day are returned to storage or documented with a reason.

#	Rule
BR-044	Reservations expire after the configured period and return stock to AVAILABLE, with notice to Orders.

17.5 Returns

#	Rule
BR-045	Physical returns require a Return Authorization issued before acceptance. (Amended — G-15) An RA additionally requires either the physical original receipt/invoice presented in person , or the returning party's identity matched against the name/contact on file for that sale. An RA issued on invoice-number recall alone — with neither the physical document nor a matching identity — is automatically flagged High Risk regardless of Branch Manager approval, and routes to the Auditor within 24 hours.
BR-046	Returned quantity cannot exceed the quantity sold on the referenced document, less prior returns. (Amended — G-17) The remaining returnable quantity per invoice line is decremented in real time at RA issuance , not at return encoding, and is enforced as a hard block — not merely a rule to be checked manually — across all branches querying the same invoice.
BR-047	Returns are stock only after grading, never on arrival.
BR-048	Grading uses a fixed list of grades; anything not clearly sellable defaults to Quarantine.
BR-049	Returns without a traceable original sale are accepted only with Branch Manager approval and are flagged high-risk.
BR-050	Photo evidence is mandatory for any return not graded Sellable.
BR-051	Restocked returns are placed to be picked first. Independent double-grading above threshold (G-16) is captured in Section 9, rule R-7.

17.6 Adjustments and write-offs

#	Rule
BR-052	Every adjustment requires approval by someone other than the requester.
BR-053	Every adjustment carries a reason code from the fixed list.
BR-054	(Amended — G-21) Adjustments above threshold require Owner approval. Approval-tier routing is based on the cumulative value of a single requester's adjustments within a rolling 7-day window , not on individual transaction value alone (Section 10.3, A-11) — once a requester's rolling total crosses a threshold, all adjustments in that window, including already-approved ones below the old threshold, are re-routed for the higher tier of approval. This prevents a loss being split across several products, each individually under threshold, to evade Owner-level scrutiny.
BR-055	Theft/confirmed-loss adjustments always require Owner approval regardless of value.
BR-056	An adjustment may only be raised after a documented search-and-reconcile step.
BR-057	Physical counts are recorded before any adjustment is raised, never after.
BR-058	Shortages and overages are recorded separately and are never netted against each other.

#	Rule
BR-059	Adjustments cannot be edited or deleted, only reversed by a further approved adjustment.
BR-060	Three or more adjustments on the same product/location within 90 days trigger an automatic investigation.
BR-061	Damage write-offs require a photo and a stated cause.
BR-062	(Amended — G-18) Physical disposal is witnessed by two people, one from outside the warehouse, both signing. A Disposal Certificate is additionally invalid without an attached, timestamped photo or video showing the goods in a destroyed/unsellable state at the moment of disposal — a photo of intact goods "about to be" disposed of does not satisfy this rule. Certificates without this evidence do not post the stock-out and remain in FOR DISPOSAL status pending compliant evidence.
BR-063	Proceeds from scrap or seconds sales are recorded as sales, never treated as informal income. Sales above [threshold] value require two comparative quotes on file or sale through an Owner-approved buyer list with benchmarked rates (G-19).
BR-064	(Amended — Opening Balance procedure, identified separately from the fraud audit) Opening balances are posted through a distinct, one-time-per-product "Opening Balance" transaction type (ADJ-11) — never an ordinary adjustment, and never any other transaction type. It is: (a) permanently, structurally distinguishable from an ordinary adjustment in the ledger (its own transaction type, not merely a reason code that could be reused later); (b) approval-gated — it requires a physical opening count and is Owner-signed before posting, exactly as an Owner-signed adjustment would be, but recorded as its own document (Opening Balance Count Sheet); (c) permitted once per product , ever, at go-live — a product that has already received its Opening Balance can never receive a second one; any further correction to that product's stock uses an ordinary adjustment (ADJ-01/02) with its own investigation trail, not a second "opening" entry; (d) the Opening Balance transaction type is disabled system-wide after the go-live cutover date for a branch (or, for a new branch under MB-8/Section 15.1, after that branch's own cutover) — it cannot be invoked at all once cutover has passed, closing off the possibility of a stale "opening balance" being used months later to quietly launder an unexplained variance.

17.7 Products and variations

#	Rule
BR-065	Every product has exactly one base unit, defined at creation.
BR-066	The base unit cannot be changed once any movement exists for that product.
BR-067	Every variation declares a conversion rate to the base unit, greater than zero.
BR-068	A conversion rate cannot be edited once used in a posted transaction. A changed pack size is a new variation ; the old one is archived. (Amended — G-32) A new or changed conversion rate additionally cannot be activated for any transaction until a physical verification count is recorded against it — a full unit (a sack, a box) counted out to its base units, witnessed and signed by two people independent of whoever proposed the rate . The verification record (who counted, what they found, date) is retained permanently alongside the rate and cannot be edited once the rate is used, exactly as the rate itself. Periodically (recommend quarterly, or triggered by any unexplained shrinkage on a specific product), the physical verification count is re-run for that product's active conversion rates and compared to the recorded verification, catching a supplier-side pack-size change made without notice. (Conversion-factor versioning — identified separately, closely related to G-32) Every conversion rate carries an effective date , and a changed rate is recorded as a new, dated version rather than a silent replacement — the system can always show which rate applied to which historical transaction by date, even though a "changed pack size" is structurally a new variation (above). The witnessed physical verification count is required before any new or changed rate — new variation or re-versioned rate alike — is activated; this closes both the creation-time gap (a wrong rate typed once and then permanently locked in by this same rule) and the change-over-time gap (a supplier quietly changing a pack size that nobody re-verifies).
BR-069	The number of variations per product is unlimited.

#	Rule
BR-070	Each variation has its own selling price, optional barcode, and status.
BR-071	Products and variations are archived, never deleted.
BR-072	Archived variations cannot be used in new transactions but remain visible in history.
BR-073	Products, categories, and variations are created and archived by staff without developer involvement.
BR-074	Selling price changes are logged with user, timestamp, and old/new values.
BR-075	Barcodes, where present, are optional conveniences — the process never depends on them.
BR-076	Physically breaking a larger pack into smaller units is recorded as a Repacking Record (it does not change base-unit quantity, but it changes physical form and must be reflected on the bin card).
BR-077	Any material loss during repacking is recorded as ADJ-09 with approval.

17.8 Roles and access

#	Rule
BR-078	Every user has a unique named account. Shared accounts are prohibited.
BR-079	Every user has exactly one primary role per branch.
BR-080	Nobody approves their own transaction, at any value, in any process.
BR-081	The Auditor is read-only in the system.
BR-082	The System Administrator cannot post or approve stock transactions.
BR-083	Cost and margin data are visible only to Owner, Branch Manager, and Auditor.
BR-084	Every login, approval, override, master-data change, and data export is logged.
BR-085	Accounts of departed staff are deactivated the same day, never deleted, and never reassigned. (Amended — G-31) Deactivation additionally triggers an automatic audit of all open items associated with that user — pending approvals awaiting their action, Discrepancy Cases assigned to them, unresolved requests they raised. Each is auto-escalated to their manager and the Auditor within 24 hours of deactivation, with mandatory reassignment before the item can be closed. A standing report of open items tied to deactivated accounts targets zero within 24 hours; anything older is a direct Owner-visible exception.
BR-086	A user's role change is logged and takes effect prospectively; historical records keep the role held at the time.

17.9 Multi-branch

#	Rule
BR-087	Every stock quantity belongs to exactly one branch.
BR-088	Transfers require approval at both the sending and receiving branch.
BR-089	Goods in transit remain on the sending branch's books until confirmed received. (Amended — G-35) Transfers above [threshold] value additionally require transit evidence independent of both branches' internal paperwork — a third-party hauler's waybill, or timestamped/geotagged photographic evidence of loading and unloading — attached before the transfer can close. The Auditor , not either branch, confirms this evidence is present and consistent before a transfer is marked closed in the system. This closes the gap where two branches under common informal trust could use fictitious transfers to mutually explain away a real shortage, since neither branch's own paperwork is, by itself, an independent check.
BR-090	Transfer variances open a Discrepancy Case automatically, owned by the sending branch.
BR-091	Document numbers include a branch code.
BR-092	Product master data and conversion rates are global; prices and stock are per branch.

18. Standard Operating Procedures

Each SOP is written to be posted on the wall at the place it is performed.

SOP-01 — Receiving a supplier delivery

Who: Receiver (with Checker and Supervisor) · **When:** every delivery · **Form:** Receiving Report (RR)

1. Confirm the Guard has logged the vehicle and that the supplier's delivery document is in hand.
2. Direct the crew to unload into **one marked receiving lane only**. Never into storage.
3. Write on a new RR: date, time, supplier, supplier DR number, PO number if any.
4. Write the **expected** quantity per line from the PO/DR **before counting**.
5. Count each line in the handling unit (sacks, boxes, bundles). Count aloud. Count in fixed groupings. Write in ink.
6. **(Amended — G-02)** Write your figures on your own **pre-numbered Count Slip** and hand it **directly to the Supervisor only** — not to the Checker, and not spoken aloud where the Checker can hear. Where the lane layout allows it, count from the opposite end or side of the delivery from the Checker.
7. Checker counts independently on a **separate, independently numbered Count Slip** and submits it directly to the Supervisor, without comparing notes with the Receiver.
8. **(Amended — G-03)** The Supervisor reconciles both Count Slips onto the RR only once both are physically in hand; record both Count Slip numbers on the RR. If the two counts differ, the Supervisor counts a third time — with a **second on-duty employee witnessing and independently recording** what they observe the Supervisor count. Both the Supervisor's and witness's figures are recorded, and the Supervisor's figure is decisive; note the difference and the witness's name.
9. Inspect quality: gauge/thickness, colour and print, no yellowing or brittleness, packaging intact and dry. Open at least 1 pack per 20 (minimum 1) and verify the count inside; record which pack was opened.
10. Record Accepted and Rejected quantities per line with a reason for any rejection.
11. Move rejected goods to **Quarantine (RED tags)** immediately.
12. Complete the RR; sign it; obtain the Checker's and Supervisor's signatures; have the driver sign any variance.
13. Give the RR to the Encoder **the same day**.
14. **(New — G-01)** Encoder captures a **live photograph or scan of the signed RR** through the encoding terminal/app itself — never from a gallery upload — and attaches it before the transaction can post.
15. Put away accepted goods to the assigned location, **new stock behind or under old stock**.
16. Update the **bin card** at the stack: date, RR number, quantity in, new balance.

Never: unload into storage · count with the first count visible · show or speak your count to the other counter before both slips reach the Supervisor · accept the supplier's number without counting · post stock before approval or without a live-captured document photo · leave rejected goods in the receiving lane.

SOP-02 — Storage and putaway

Who: Receiver / Picker · **When:** after every receipt or restock

1. Take goods to the location written on the RR. If it is full, ask the Supervisor for an alternate and write it on the RR.
2. Place new stock **behind or under** existing stock (FIFO).
3. Keep goods off the floor on pallets or dunnage.
4. Keep plastics out of direct sunlight and away from heat.
5. Do not block aisles or fire exits.
6. Attach or update the date tag on the stack.
7. Update the bin card immediately.

- Report any damage found during putaway to the Supervisor before storing it.

SOP-03 — Picking

Who: Picker · **When:** against an issued Picking List

- Accept only a Picking List issued and signed by the Supervisor.
- Work one Picking List at a time to completion.
- Go to the stated location; confirm the product name **and** the variation.
- Take the **oldest** stock first (front picking face / lowest date tag).
- Count as you pull. Count aloud.
- Write the **actual** picked quantity on the list, even if it differs from what was requested.
- If the location is short: **stop**. Do not substitute. Do not take from another location. Call the Supervisor.
- Update the bin card: date, document number, quantity out, new balance.
- Move the goods to the Release Area, into one bay, and attach the tag with the Picking List number.
- Sign the Picking List and hand it to the Checker.

Never: pick without a list · pick from memory · substitute a different variation · pick newest stock · leave goods untagged.

SOP-04 — Checking and releasing

Who: Checker, then Supervisor, then Guard · **When:** before every release

- Checker:** take the customer order (not the picker's figures) and count what is staged.
- Record your count. If it differs from the order, return to step 1 of SOP-03 with the Picker to correct it, and record the variance against the Picker.
- Confirm the variation is correct, not just the quantity — a bundle is not a ream.
- Sign the Picking List as Checker.
- Encoder/Supervisor:** prepare the Delivery Receipt using the **checked** quantities.
- Supervisor:** verify the DR against the staged goods, then sign to authorize release and issue the Gate Pass. **(New — G-10)** If this release is selected for the random independent spot-recount, wait for the spot-checker (uninvolved in today's picking/checking) to recount before loading proceeds.
- Driver:** count the packages being loaded and sign the DR to accept custody.
- (Amended — G-11) Guard:** at the exit, count packages **and** weigh the load against the Gate Pass and the expected weight range for its declared contents; check any tamper-evident seal on palletized/bundled loads is unbroken; log the vehicle out and keep the gate copy.
- Encoder:** post the stock-out movement the same day, with a live-captured photo of the signed DR attached (G-01).
- Update the bin card if not already updated at picking.

Never: release without a Checker's count · pre-sign a blank DR or Gate Pass · let a vehicle leave without a gate check, a weight check, or with a broken seal.

SOP-05 — Handling customer returns

Who: Cashier/Salesperson → Br. Manager → Receiver/Checker → Supervisor

- Identify the original Sales Invoice or DR. Confirm the quantity is within what was sold — the system's real-time remaining-returnable counter (G-17) enforces this as a hard block.
- (Amended — G-15)** Request a **Return Authorization** from the Branch Manager **before** accepting the goods — the returning party must present the **physical original receipt/invoice in person** or have their identity matched against the

name/contact on file for that sale; an invoice number recited or phoned in alone is not enough and auto-flags the RA High Risk.

3. Receive the goods into the **Returns Area (YELLOW tags)** only.
4. Count against the RA — blind double count on separate Count Slips, as at receiving (G-02).
5. **(Amended — G-16)** Supervisor grades each item: Sellable · Re-packable · Damaged · Not ours. Above [threshold] value, a **second person independently grades the same item** without seeing the first grader's conclusion until both are recorded; a disagreement escalates to the Branch Manager.
6. Photograph anything not graded Sellable.
7. Sellable/Re-packed → restock, placed to be picked first, bin card updated.
8. Damaged → Quarantine (RED tags), Damage Report raised.
9. Not ours → refuse, return to customer, log the incident and inform the Branch Manager.
10. Encoder posts the Return Receiving Report referencing the RA and original invoice.
11. Credit or refund is triggered only after grading.

Never: accept a return into stock without an RA · put returns straight onto the shelf · grade Sellable when unsure.

SOP-06 — Requesting and approving an adjustment

Who: Supervisor/Encoder (request) → Br. Manager/Owner (approve) → Encoder (post)

1. **Do not raise an adjustment first.** Freeze the item and recount blind, by a different person.
2. Search: other locations · staging · quarantine · returns · unconfirmed transfers · unencoded documents · counter stock.
3. Document the search on the Adjustment Request, whatever the outcome.
4. If found: correct the location record, close the matter, no ledger adjustment.
5. If not found: complete the Adjustment Request with reason code, quantity, product, location, and evidence.
6. Route to the approver — **never yourself**. Above threshold, route to the Owner. If your own rolling 7-day cumulative adjustment value has crossed a threshold (A-11), the system re-routes automatically to the higher tier regardless of this line's own value.
7. **(Amended — G-23)** Approver reviews the evidence and the search documentation, then approves or rejects **in writing** — this physical signature is not sufficient by itself. The approver must **also** perform a distinct, individually-authenticated **system approval action** (their own login credentials, ideally with a PIN or biometric step), separate from an already-open session. An adjustment posted with a signature but no matching system-side approval event does not post and is flagged for Owner review.
8. Encoder posts only after approval, referencing the approved request number.
9. Supervisor corrects the bin card to match.
10. Auditor reviews all adjustments monthly for pattern and repetition.

SOP-07 — Cycle counting

Who: Supervisor or assigned counter (never that zone's primary custodian) · **When:** per the ABC schedule

1. Print the count sheet: product and location only — **no expected quantity**.
2. **(Amended — G-08)** Freeze movement for the products being counted, or count outside operating hours. For the duration of the count window, the **system blocks new Picking Lists and new Receiving postings branch-wide**, not only for the counted location — a Supervisor may log a named, reasoned emergency exception, but this is not routine.
3. Count physically. Count aloud. Count in fixed groupings. Write in ink.
4. Include partially opened packs, counted as loose base units — never assumed full.
5. **(Amended — G-24)** The moment counting finishes, the sheet is **collected immediately by a third party not involved in either count**, or photographed and submitted through the system on the spot — the counter does not retain

physical custody of their own sheet afterward and does not get a chance to compare results with the other counter before both are logged. Sign and submit the count sheet **before** seeing the system figure.

6. Supervisor compares against the system.
7. Variance within tolerance → record and close.
8. Variance above tolerance → **recount by a different person**, blind, then follow SOP-06.
9. Record every count, including those with zero variance — the clean counts are what make the variances meaningful.

SOP-08 — Daily closing

Who: Encoder → Supervisor → Branch Manager

1. Collect every source document from the day and arrange in number order.
2. Complete form accountability: every issued serial used, voided, or returned unused.
3. Encode everything. **Pending encodings must be zero.**
4. Confirm the release/staging area is empty; document any exception.
5. List quarantine and returns contents; sign; carry forward to tomorrow's opening.
6. Record the day's cycle count results.
7. **(Amended — G-26, G-07)** Photograph today's closing bin card entries for the day's moved products and upload them, then compare bin cards against the system. This comparison is performed or independently re-verified by **someone who did not personally receive, release, or encode** transactions for that product today; where staffing makes on-site independence impossible, send the photographed bin card and system export to the Owner for remote review before the close is final.
8. Prepare the daily reconciliation (opening + in – out = closing).
9. Branch Manager reviews and signs.
10. Send the exception report to the Owner — every day, whether or not there are exceptions.
11. Lock the warehouse; close the gate log.

SOP-09 — Weekly cycle count review

Who: Branch Manager with Supervisor · **When:** weekly

1. Review all Class A count results for the week.
2. Review every adjustment raised: reason, requester, approver, value.
3. Review variance by person and by location.
4. Review ageing items: quarantine over 7 days, returns over 48 hours, transfers unconfirmed over 3 days, open cases.
5. Review supplier variance for the week.
6. Assign corrective actions with named owners and dates.
7. Send the summary to the Owner.

SOP-10 — Monthly physical count

Who: Auditor leads; teams of two; Branch Manager oversees · **When:** monthly for Class B; annually for everything

1. Announce the freeze window. No receiving or releasing during the count; anything unavoidable goes into a clearly marked "count exception" lane and is counted separately.
2. Ensure all documents are encoded and the staging area is empty **before** counting begins.
3. Issue blind count sheets by zone. Each team counts a zone that is not its own.
4. Count, in pairs, aloud, in fixed groupings, in ink.
5. Second team performs a blind recount of a sample (minimum: all Class A items and 10% of everything else).

6. Submit all sheets before any system figures are revealed.
 7. Compare to the system; list every variance with its value.
 8. Recount every variance above tolerance before any adjustment is proposed.
 9. Investigate variances above the investigation threshold as Discrepancy Cases.
 10. Owner approves the final adjustment schedule; the Encoder posts it as a batch, each line with its reason code.
 11. Correct all bin cards to match.
 12. Issue the count report: total variance, variance %, by product, by location, by class, versus prior periods.
-

19. Risk Analysis

Likelihood and Impact: High · Medium · Low. Rating assumes controls are **absent**; the mitigation column brings the residual risk down.

#	Risk	L	I	Primary mitigation	Preventive controls
R-01	Employee theft — small, repeated (a bundle at a time)	H	H	Blind double counts + bin card vs. system reconciliation + ABC cycle counts on small-high-value items	C-01, C-02, C-05, C-08, C-11, C-12; personal bags outside; gate control
R-02	Employee theft — collusion (picker + checker, or receiver + driver)	M	H	Role rotation, surprise counts by an independent Auditor, variance-by-person analysis, Supervisor spot-checks that follow no pattern	C-06, C-12, C-14; rotation; SoD-3
R-03	Under-recording at receipt (goods arrive, less is recorded, the difference walks)	M	H	Blind second count at receiving; Supervisor physically spot-checks one line of every delivery	C-01, BR-025, BR-034
R-04	Encoding errors (transposition, wrong variation)	H	M	Confirmation screen showing both entered and base-unit quantities; same-day encoding; daily bin card reconciliation	U-4, C-05, C-10
R-05	Wrong variation / conversion error (5 sacks entered as 5 pieces)	H	H	Quantities entered in the handling unit with the base-unit result displayed for confirmation; conversion rates locked after first use	BR-067, BR-068, U-3, U-4
R-06	Supplier short-shipment billed as full	M	M	Count-before-accept; shortage recorded against the supplier; supplier scorecard	C-15, BR-027, BR-028
R-07	Customer return fraud (returning goods not bought here, or already-damaged goods)	M	M	RA before acceptance; original invoice matching; grading with photos; "not ours" grade	BR-045, BR-046, BR-049, R-5
R-08	Shrinkage from damage and degradation (sun, moisture, crushing, pests)	H	M	Storage discipline, FIFO, off-floor storage, out of sunlight, dead-stock review	SOP-02, C-11, monthly damage trend
R-09	Paper documents lost before encoding	M	H	Pre-numbered forms + daily accountability of every serial; zero-pending-encoding close	C-03, C-04, C-10, BR-017
R-10	Staff bypass the system and revert to paper	H	H	Extreme UX simplicity, training, Owner's daily exception report, no releases accepted without a system-generated document once live	U-1...U-9; parallel-run rollout; management enforcement
R-11	Encoder becomes a single point of failure (only one person can operate the system)	H	M	At least two trained encoders per branch; (amended — G-29) in a genuine emergency the Supervisor may encode only under a real-time, Owner-granted, time-boxed elevation that auto-expires at end of day and flags every transaction under it for priority review — never a self-declared "the Encoder is out" workaround; written SOPs posted	Cross-training; SOP-08; Section 4.4 emergency elevation rule
R-12	System downtime / brownout (common in the region)	H	M	Full paper fallback that is already the working process; bin cards give availability without the system; UPS on the office PC	E-10, C-05; UPS; mobile data backup line

#	Risk	L	I	Primary mitigation	Preventive controls
R-13	Data loss (fire, flood, typhoon, theft of the PC, ransomware)	M	H	Daily off-site/cloud backup with a tested quarterly restore	C-21
R-14	Unauthorized access / shared passwords	H	H	Named accounts, role-based access, logged actions, immediate deactivation of departed staff	BR-078, BR-085, C-18
R-15	Management override (owner or manager instructs a bypass)	M	H	Every override logged and reported; Auditor reports directly to the Owner; overrides visible on the daily exception report	C-13, BR-084; documented override policy
R-16	Adjustment abuse (repeated small "corrections" that hide removals)	M	H	Maker–checker on every adjustment; gross and net monitoring; automatic flag at 3 in 90 days	C-07, A-8, A-9, BR-060
R-17	Ghost stock (records show stock that has not existed for months)	M	H	Negative-stock block; cycle counting; bin card reconciliation; investigation of every variance	C-09, C-11, C-05
R-18	Stockout of fast movers (lost sales, customer goes to a competitor)	H	M	Reorder points, low-stock alerts, consumption-rate reporting	Reorder point per product; daily low-stock report
R-19	Dead stock / obsolescence (capital locked in unsellable plastic)	M	M	Dead-stock report, monthly slow-mover review, clearance decisions	Monthly review; ageing report
R-20	Operational delay from new controls (double counting slows receiving; staff cut corners)	H	M	Time the process during rollout, staff appropriately, keep the count in handling units, accept a slightly slower receipt as the cost of accuracy	O-2 target; measure and tune, but never waive C-01 or C-02
R-21	Regulatory / BIR non-compliance (invoice serials, retention)	L	H	BIR-registered serial numbering; 10-year retention; no deletion	BR-022, BR-023
R-22	Key-person dependency in the warehouse (only one person knows where things are)	M	M	Fixed locations, bin cards, labelled aisles, written SOPs, rotation	SOP-02, C-05; location discipline

20. Recommendations

Ordered by impact-per-peso. All are achievable in a traditional manual warehouse.

20.1 Do first (low cost, high impact)

#	Recommendation	Why it matters
1	Install bin cards on every stack. Printed cards, string, ballpoint pens.	The single highest-value control available without technology. Creates a second independent record, so errors surface in days instead of at the annual count. Cost: negligible.
2	Adopt blind double counting at receiving and release.	Replaces barcode verification. Two independent counts make both honest error and deliberate under-recording detectable. Adds minutes; prevents the largest loss channel.
3	Move to pre-numbered, controlled forms with daily accountability.	Converts "we lost the paper" into a same-day, answerable question. A local print shop can produce numbered booklets cheaply.
4	Paint and label the zones. Receiving lanes, release bays, quarantine, returns — with RED and YELLOW tags.	Physical separation prevents entire categories of mistake that no system can catch afterwards. Cost: paint, rope, printed tags.
5	Enforce a Gate Pass at the exit, with no exceptions for anyone.	The last physical checkpoint. Everything upstream can be defeated on paper; the gate cannot.
6	Send the Owner a daily exception report.	Ensures the person with the most to lose sees anomalies daily without asking. Almost free once the system exists.
7	Fix locations and label the aisles.	Ends key-person dependency; makes counting and picking faster and verifiable.
8	Post the SOPs on the wall in Hiligaynon and English, with pictures.	Training that does not depend on memory or on one senior staff member being present.

20.2 Do during implementation

#	Recommendation	Why
9	Enter quantities in handling units; let the system convert.	Removes the single most dangerous manual step — mental conversion — and eliminates the "5 sacks entered as 5 pieces" error class.
10	Use picture-based product selection.	Non-readers and senior staff can select correctly; virtually eliminates wrong-product entry.
11	Confirm every posting in plain language. "5 SACKS of Tiny Plastic = 2,500 pieces. Correct?"	Catches errors before posting, when correction is free.
12	Train and certify two encoders per branch.	Removes the single point of failure that would otherwise sink the whole system on one person's sick day.
13	Run parallel (paper + system) for 4 weeks, then paper as source only.	Builds confidence, exposes process gaps, and gives a fallback while staff learn.
14	Start with a clean, counted, owner-signed opening balance.	A system started on wrong numbers produces variances forever and loses staff trust in month one.
15	Put a UPS on the office PC and keep a mobile-data backup line.	Brownouts are routine; an interrupted posting mid-transaction is a data-integrity problem.

#	Recommendation	Why
16	Configure cheap phone-camera photo capture for damage and returns.	Evidence for supplier claims and return disputes at zero incremental hardware cost.

20.3 Do after stabilisation (3–12 months)

#	Recommendation	Why
17	ABC-classify the catalogue and set count frequencies accordingly.	Focuses counting effort where the money and the theft risk are.
18	Introduce supplier scorecards.	Separates supplier short-shipment from internal loss — two different problems with two different fixes.
19	Rotate custody and counting assignments periodically.	Long-unrotated custody is a recognised risk factor; rotation also spreads knowledge.
20	Set reorder points on the top 50 products.	Converts stockouts from a recurring surprise into a managed alert.
21	Review the adjustment register monthly with the Owner present.	Nothing deters adjustment abuse like the Owner reading every line, by name, every month.
22	Consider optional barcode labels for the highest-value items only — printed in-house, scanned with a phone.	Not required by this design. Worth adding <i>only after</i> the manual disciplines are solid; a scanner layered on weak process discipline just automates the errors.
23	Publish a monthly one-page scorecard: shrinkage %, count accuracy %, adjustments (gross and net), open cases, stockouts.	Makes progress visible and keeps attention on the goal after the initial enthusiasm fades.

20.4 What NOT to do

#	Anti-recommendation	Why
A	Do not add a "quick edit stock" function, however often it is requested.	It defeats every control in this document. Every such request has a legitimate underlying need that an existing transaction type already covers.
B	Do not allow shared logins to "save time."	It makes "who did it" permanently unanswerable and quietly voids every other control.
C	Do not waive the blind second count when busy.	The busiest days are exactly when errors and removals happen.
D	Do not let the system show the expected quantity on a count sheet.	A confirming count is not verification.
E	Do not net shortages against overages to make the monthly figure look better.	It conceals two separate problems behind one clean number.
F	Do not buy scanners, RFID, or a WMS before the manual disciplines hold for six months.	Technology on top of weak process discipline produces faster, more confident errors.

Appendix A — Document register & numbering

Format: **TYPE-BRANCH-YEAR-SEQUENCE** — e.g. **RR-ILO-2026-000231**

Code	Document	Created by	Approved by	Copies
PO	Purchase Order	Br. Manager / Owner	Owner	Supplier, office, warehouse
RR	Receiving Report	Receiver	WH Supervisor	Warehouse, office, supplier (variance)
QTN	Quarantine Tag / Note	Receiver / Supervisor	Br. Manager (to release)	Attached to goods, office
RTS	Return to Supplier	Supervisor	Br. Manager	Supplier, office, warehouse
SO	Sales Order (Orders module)	Salesperson	Br. Manager (credit)	Customer, office
PL	Picking List	WH Supervisor	—	Warehouse
DR	Delivery Receipt	Encoder / Supervisor	WH Supervisor	Customer, driver, office, warehouse
GP	Gate Pass	WH Supervisor	WH Supervisor	Gate, driver
SI/OR	Sales Invoice / Official Receipt (BIR)	Cashier	—	Customer, office (BIR serials)
RA	Return Authorization	Br. Manager	Br. Manager	Customer, warehouse, office
RRR	Return Receiving Report	Receiver	WH Supervisor	Warehouse, office
DMG	Damage Report	Anyone finding damage	WH Supervisor	Warehouse, office
DSP	Disposal Certificate	Supervisor	Br. Manager / Owner	Office, warehouse, witnesses
IAV	Inventory Adjustment Voucher	Supervisor / Encoder	Br. Manager / Owner	Office, warehouse
CCS	Cycle Count Sheet	Supervisor	Br. Manager	Office
PIC	Physical Inventory Count Sheet	Auditor	Owner	Office
STR	Stock Transfer Request	Receiving branch	Sending Br. Manager	Both branches
STN	Stock Transfer Note	Sending branch	Sending Br. Manager	Both branches, driver
DCR	Discrepancy Case Record	Supervisor / Auditor	Br. Manager / Owner	Office
RPK	Repacking Record	Supervisor	WH Supervisor	Warehouse

Appendix B — Approval matrix

Peso thresholds are placeholders for client confirmation (see Open Questions). Values are per transaction, at cost.

Transaction	≤ ₱1,000	₱1,001 – ₱10,000	> ₱10,000
Receipt within PO tolerance	WH Supervisor	WH Supervisor	Br. Manager
Receipt over PO tolerance	Br. Manager	Br. Manager	Owner
Receipt without supplier documents	Br. Manager	Br. Manager	Owner
Retail sale	Cashier	Cashier	Br. Manager
Wholesale release (cash)	WH Supervisor	WH Supervisor	Br. Manager
Wholesale release (credit)	Br. Manager	Br. Manager	Owner
Customer return	Br. Manager	Br. Manager	Owner
Return without original invoice	Br. Manager	Owner	Owner
Inventory adjustment	Br. Manager	Br. Manager	Owner
Damage write-off	Br. Manager	Br. Manager	Owner
Theft / confirmed loss (ADJ-10)	Owner	Owner	Owner
Disposal	Br. Manager	Br. Manager	Owner
Branch transfer	Br. Manager (both ends)	Br. Manager (both ends)	Owner + both managers
Negative-stock override	Owner	Owner	Owner
Price change	Br. Manager	Br. Manager	Owner
Conversion-rate creation (new variation)	Owner	Owner	Owner

Universal rule: the requester never approves, at any value, in any row above.

Appendix C — Base unit & variation worked example

Product: Tiny Plastic · Base unit: PIECE (fixed permanently at creation, BR-066)

Variation	Conversion to base	Selling price	Barcode	Status
Per Piece	1	₱1.50	optional	Active
Per Bundle	20	₱28.00	optional	Active
Per Ream	100	₱130.00	optional	Active
Per Sack	500	₱600.00	optional	Active
Per Box	1,000	₱1,150.00	optional	Active
Per Carton	5,000	₱5,500.00	optional	Active

Receiving 5 sacks

Receiver enters: 5 SACKS
System shows: 5 × 500 = 2,500 PIECES — "Receiving 5 SACKS of Tiny Plastic
= 2,500 pieces. Correct?"
Ledger records: +2,500 PIECES
Bin card records: +2,500, new balance in PIECES

Selling 3 bundles from the same stock

Cashier enters: 3 BUNDLES
System shows: 3 × 20 = 60 PIECES
Ledger records: -60 PIECES
Balance: 2,500 - 60 = 2,440 PIECES
Displayed as: 4 sacks + 4 reams + 2 bundles + 0 pieces (or simply 2,440 pieces)

Key points

- 1. There is **one** stock pool: 2,440 pieces. There is no separate "sack stock" or "bundle stock."
- 2. Availability for any variation is derived: sacks available = $2,440 \div 500 = 4$ whole sacks (with 440 pieces remaining).
- 3. Physically opening a sack to sell loose pieces does **not** change the base-unit quantity. It changes physical form and is recorded as a **Repacking Record** (BR-076) so the bin card and the physical count stay consistent. Any loss during repacking is ADJ-09.
- 4. Adding "Per Pack of 250" tomorrow is a new variation with conversion 250 — no change to existing stock, history, or software.
- 5. If the supplier changes a sack from 500 to 480 pieces, that is a **new variation** (BR-068). The old one is archived. The conversion rate on a used variation is never edited, because doing so would silently rewrite the quantity of every historical transaction that used it.

Appendix D — Glossary

Term	Meaning
Base unit	The single unit in which all stock is held and counted (e.g. PIECE)
Variation	A sellable/handling form of a product with a conversion rate to the base unit (sack, ream, box)
Conversion rate	How many base units one variation contains
Bin card / stock card	The handwritten card at each stack showing every movement and the running balance
Blind count	A count performed without knowledge of the expected or previously counted quantity
Maker-checker	The rule that the person performing an action is never the person approving it
Segregation of duties (SoD)	Splitting a process so no single person controls it end to end
Available-to-promise	AVAILABLE minus RESERVED — the quantity that can still be sold
Discrepancy Case	A formal, closeable investigation opened when a variance exceeds tolerance
Cycle count	A rolling partial count of selected products, done without stopping operations
FIFO / oldest-first	Issuing the oldest stock first
Quarantine	Physically segregated area for damaged, disputed, or held goods
Gate pass	The document authorizing goods to physically leave the premises
Form accountability	Confirming every pre-numbered form issued is used, voided, or unused
Shrinkage	Loss of inventory with no matching transaction
Suki	Regular/loyal customer, typically with informal credit terms
Utang	Credit / amount owed (handled by the Debit/AR module)

Appendix E — Open questions for the client

These must be answered before the build begins; each changes the process, not just a setting.

#	Question	Why it matters
1	Do retail and wholesale draw from the same stock pool, or should stock be ring-fenced per channel?	Determines whether reservations are needed for retail and how available-to-promise is calculated.
2	What peso thresholds should apply in Appendix B?	Sizes the entire approval structure and determines how often the Owner is interrupted.
3	How many staff are available per branch, and can the four irreducible separations (SoD-1...4) be maintained today?	If not, the compensating controls in Section 4.4 become mandatory from day one.
4	Who fills the Auditor role? A family member, an outside accountant, or the Owner personally?	Independence is what makes the detective controls work. Without an independent Auditor, Section 12 weakens materially.
5	What is the acceptable claim window for wholesale delivery disputes — 24, 48, or 72 hours?	Determines when a delivery record locks and when a shortage becomes non-recoverable.
6	Are there products requiring batch/lot tracking (supplier lot, production date)?	Plastics may need it for gauge/quality claims; it changes the receiving form.
7	Which products are considered high-theft or high-value and need Class A treatment?	Sets the cycle count schedule.
8	Is there existing BIR-registered invoice/receipt numbering in use, and what are the current series?	Section 17.2 must align with what the BIR has already authorized.
9	How many branches are planned, and over what horizon?	Determines whether multi-branch is configured at go-live or later.
10	Who currently holds the warehouse keys, and who will hold them after go-live?	Custody accountability starts with physical access.
11	Is there a reliable internet connection at the warehouse, or must the system work offline-first?	Determines the downtime procedure's weight (E-10) and the technical approach.
12	Should the Owner's daily exception report go by SMS, email, or a messaging app?	Determines whether C-13 is actually read every day, which is the entire point of it.

End of document.

Approved by: _____ (Owner) · Date: _____ Reviewed by: _____ (Branch Manager) ·
Date: _____

Amendments to this document require the Owner's written approval. The software is built to enforce this document; where they disagree, this document governs until formally amended.